Triage Guide by Segment

Master Table of Contents:

Trade Contractors Triage Guide

Table of Contents:

<u>Trade Contractor Guidelines:</u>

- Residential <u>Trade or Artisan contractors</u> subject to the following:
    - **High Hazard States** (CA, AZ, HI, NV, OR, SC, WA): Commercial construction only. Additionally, airport runway, bridge construction, glaziers, mold remediation, retaining wall construction, shoring, piling and underpinning are also prohibited in these states.
    - **Medium Hazard States** (FL, AK, LA): OK to accounts where we apply an endorsement limiting construction to 20 units per project or where the overall new residential construction and/or renovation work performed for a condominium association is no more than 25% of the overall operations.
    - **Other States**: Unlimited new and renovation work on residential construction subject to class prohibitions and other guidelines defined in this document, bulletins and statements of underwriting authority.
        - Plumbing Contractors in Other States: Renovation / Remodel – OK. New Residential work is OK subject to loss history confirming at least five years of no construction defect claims. Otherwise, risk is outside of our appetite and exceptions must be addressed with strong pricing and attachment and are subject to PLL referral.
    - **All States Prohibited Classes**:
        - EIFS or Stucco Contractors
        - New Foundation Installation Contractors
        - Waterproofing Contractors
        - Window & Door Contractors
        - Traffic Control, Flagging Contractors, Barricade Rental Companies
        - Dams, Railroads, Tunnels
        - ANSUL System Work

- How to Rate: Final premium will be composite rated based on sales. Trade contractors will be rated on payroll, subcontractor class will be rated on costs.

Drywall Contractor – ISO Code 92338

A B C Score: A (B for Florida Risks)

Description of Operations:

Wall and ceiling contractors usually work as subcontractors to general contractors on new construction. They may work on residential, commercial, or industrial buildings. They also may work on large renovation projects, although for small residential additions or renovations, the carpenter usually will finish the walls and ceilings. Firms also may specialize in custom work, such as decorative ceiling, stucco work, or plaster repair.Wall and ceiling contractors use wallboard (also known as "drywall") for most applications instead of plastering, which was used in the construction of older homes. Drywall is easy to install and comes in a number of special forms, including water-resistive board (green board, for bathrooms and other high-humidity areas) and fire-resistive board, which is required in certain areas by local codes in the United States.

Hazard Analysis:

- Prem/Ops - Visitors to job sites may also trip and fall over materials or equipment that has been carelessly strewn around the work area. Good housekeeping practices should be strongly encouraged at work sites to help reduce the chance of third-party bodily injury and property damage. Using lesser quality materials, not following specifications or building codes, and doing defective work may all result in bodily injury or property damage claims.
- P/CO - Claims may involve water intrusion around windows and failure to install firestopping materials inside walls.

Notes:

- Stucco work over 10% should be declined, under 10% should be noted to the Underwriter
- Typical rate range: $4-$8

Window Cleaning Contractor – ISO Code 99975

A B C Score: A (B for Florida Risks)

Description of Operations:

Window cleaning contractors are engaged primarily in cleaning windows of various sizes and types and located at various heights - both interior and exterior - in residences and commercial structures, especially multi-story office buildings and institutions, such as hospitals and schools. The industry is seasonal, with the slowest periods occurring during the winter months, though work may remain steady in geographical areas that experience warm weather year round. Small window cleaning operations usually handle the cleaning of windows at ground-floor or second-story level (residences, storefronts, etc.). Larger firms generally work on the more hazardous commercial buildings - high-rise structures that require workers to have more technical skill and training, as well as access to more extensive equipment and supplies. Window cleaning contractors may work as subcontractors to large building maintenance firms or for general contractors.

Hazard Analysis:

- Prem/Ops - The General Liability exposure for window cleaning contractors will be significant, since insureds may be responsible for damage to costly windows and other personal property. Insureds that specialize in antique or stained glass restoration or cleaning (or other highly technical tasks) may experience an increased exposure. Also, exterior window cleaning operations present a danger to people or property that is in the vicinity of or beneath employees working at heights.

Notes:

- Watch for janitorial operations

<u>Bridge Contractors</u> – ISO Codes 91265 (Bridge or Elevated Highway Construction - iron or steel) & 91266 (Bridge of Elevated Highway Construction - concrete)

A B C Score: A (B for Florida risks)

<u>Description of Operations</u>:

Bridge contractors build, repair, or maintain bridges over water, railroads, streets and highways. Bridges can be small pedestrian byways or large river-spanning structures. Except for small footbridges, a bridge is always a major project due to the potentially catastrophic consequences should the bridge fail or collapse. Bridges may be constructed of wood, iron or steel, stone, masonry, concrete, or some combination of these materials. Some bridges, especially long suspension bridges, also employ cable extensively.

<u>Hazard Analysis</u>:

- Prem/Ops - At the job site, bridge construction always involves work at heights. Persons and property may be injured by falling objects, especially when the job is near existing structures or residences. Grading and trenching may result in damage to underground lines or piping. Repair and maintenance work usually requires road closings and the redirecting of traffic. Improper signage or barricading could result in a vehicle collision and loss of life. Welding of steel parts poses a fire or explosion hazard to neighboring structures. Work near water also poses unique hazards as barges are unstable.
- P/CO - The designer and engineer of the project, the quality of materials, and the integrity of the completed structure are all critical. Any operations not performed correctly could result in a lack of structural integrity or collapse. The absence of an aggressive quality control program that documents full compliance with all construction, material, and design specifications may indicate a morale hazard and make it impossible to defend against serious claims. The size and type of jobs previously completed will give a good indication of the jobs that will be sought in the future.

<u>Concrete/Foundation Contractor</u> – ISO Code 91560

A B C Score: A (B for Florida risks)

<u>Description of Operations</u>:

Cement and concrete contractors clear and level job sites, lay wooden or metal molds or forms, place mesh or reinforcement bars (rebar) as needed, and pour wet concrete into the forms to produce a wall, foundation, basement, sidewalk, parking lot, or roadway. The cement or concrete must then cure (be kept moist so it dries slowly to maintain its strength), harden and dry. Concrete consists of aggregate (sand and gravel), cement (the binding agent), and water. It may be mixed in transit or at the job site. Many contractors specialize in flatwork such as driveways and sidewalks; others pour structures varying from foundations and footings to walls and bridge decking.

<u>Hazard Analysis</u>:

- Prem/Ops - At job sites, the operation of heavy machinery presents numerous hazards to the public and to employees of other contractors, particularly when there is structural work. The weight of large mixers and mix-in-transit vehicles can cause serious injury or property damage. Hazards increase significantly in the absence of job site control, including spotters, signage and barriers where appropriate. After hours, wet cement attracts children and vandals. Excavation and other operations pose numerous hazards, especially if the contractor exercises inadequate control of the area. The general public and employees of other contractors can be injured due to trips and falls over debris, equipment, or uneven ground. Digging can result in cutting utility cable, damaging property of the utility company and disrupting service to neighboring residences or businesses.
- P/CO - Completed operations liability exposures can be very high due to the injury and property damage that can occur from improper installation and curing. Concrete may crack, rapidly deteriorate, or otherwise fail. The mixture of the cement and concrete and the materials used to harden and cure must meet all specifications. Quality control and full compliance with all construction, material, and design specifications is necessary, as is documentation of customer specifications, work orders, change orders, and inspection and written acceptance by the customer.

<u>Notes</u>:

- Vertical construction is preferable to horizontal construction - some commercial horizontal (sidewalks, driveways) is OK
- Stay away from residential foundation/slab work - tract work specifically
- Check loss runs for trends
- Subsidence exclusion will need to be removed
- $50,000 minimum premium will apply for sinkhole remediation
- Typical rate range - $4-$8

Masonry Contractor – ISO Code 97447

A B C Score: A (B for Florida risks)

Description of Operations:

Masonry contractors install and repair brick, block, stone, veneer and other masonry items onto and inside of buildings or structures. The end use may be structural (load-bearing) or decorative. Their work may include fencing or retaining walls, outside signs and other related structures. Masons must first clear and level job sites, then prepare mortar (cement, sand and water mix that is placed between the bricks). The clay bricks, concrete blocks, or stone is then laid in rows to the engineers' and architects' specifications and design. Some types of structural masonry work have reinforcing rods for additional support.

Hazard Analysis:

- Prem/Ops - Jobsite exposures will vary based on whether work being done is new construction or repair or renovation of existing masonry, whether work is underground or at heights, and whether it is inside or outside. Protecting pedestrians and employees of other contractors from dropped objects and trip and fall hazards is important when working at heights.
- P/CO - Completed operations liability exposures can be high due to the injury and property damage that can occur from improper installation and support. If a wall, column, or foundation cannot support the required load, the entire structure may shift or collapse. When veneer is being applied there must be adequate attachment points to prevent separation. Quality control is always an important risk control factor.

Notes:

- Look for higher percentage of waterproofing operations

<u>Fire Suppression Contractor</u> – ISO Code 94381

A B C Score: B

<u>Description of Operations</u>:

This classification contemplates the installation of automatic sprinkler systems, both dry and wet, in buildings fire suppression systems, such as for fire protection purposes. Using portable scaffolds and ladders, the pipe is hung from the roof or ceiling structures. Also contemplated is the repair, service, maintenance and testing of existing systems. After final hookup and assembly (sprinkler heads may be installed before or after hanging the pipes) the system is tested by water flow and pressure tests. The operations may be performed by a specialist or by a plumbing and heating contractor, thus care must be taken when auditing a plumbing and heating contractor to determine if, in addition, they also did sprinkler work.

<u>Hazard Analysis</u>:

- Prem/Ops - The installation of the fire suppression system at job sites can be invasive and require work throughout a home or business, resulting in a high potential for property damage. The area of operation should be restricted by barriers and proper signage to protect the public from slips and falls over tools, power cords, building materials and scrap. If there is work at heights, falling tools or supplies may cause injury or property damage if dropped from ladders and scaffolding.
- P/CO - Completed operations exposures include faulty operating systems that could damage the client's premises, or failure of the system to operate correctly due to improper installation and result in bodily injury or property damage. Fire suppression contractors are held to a high degree of care because of the trust their customers necessarily place in their work. Severe exposures may be present in suppression system installations at medical facilities, prisons, large manufacturers and certain residences.

<u>Notes</u>**:**

- We have a limited appetite for fire suppression contractors. Contractors installing or servicing ANSUL Systems (or ANSUL type kitchen hood systems) should be declined. Risks that make heavy use of CPVC are at a higher risk of water damage and should be priced accordingly. We can offer ISO endorsement CG 2280 to satisfy professional requirements so long as the insured is not doing design work for others.
- Minimum premium on the class is $50,000
- Rates start at $10+ with higher rates for strictly service/repair operations
- Note deductible and loss runs
- Check for cross selling opportunity with Environmental

<u>Swimming Pool Contractor</u> – ISO Code 99506 (Swimming Pools - installation, servicing or repair - above ground) & 99507 (Swimming Pools - installation, servicing or repair - below ground)

A B C Score: A (B for Florida risks)

<u>Description of Operations</u>:

Swimming pool contractors install commercial and residential swimming pools, spas, fountains and similar projects that involve water and hydraulics. A swimming pool contractor works with a client to design a pool, orders the materials, and hires and supervises the subcontractors that actually perform its installation. Subcontractors include excavators, electricians, plumbers and cement contractors. Most swimming pool contractors also provide service, maintenance and repair services.

<u>Hazard Analysis</u>:

- Prem/Ops - At the job site, the swimming pool contractor is responsible for the safety aspects of the entire project even after hours when there is no construction activity. Excavation and construction pose numerous hazards. Digging can result in cutting utility cables, damaging property of the utility company and disrupting service to neighboring residences or businesses.
- P/CO - Completed operations exposures can be severe. The swimming pool design, the quality of the construction materials, and the details of the project are all critical. If the swimming pool contractor fails to maintain the appropriate level of quality control and does not completely comply with construction, design and material specifications, a serious loss could occur. Suction from an improperly installed swimming pool filter can eviscerate a child. Inadequate drain covers can entrap and drown swimmers. Any improperly installed diving board, ladder or in-pool lighting can lead to serious injuries and even death. Walking areas with improperly applied surfaces can lead to slip and fall injuries.

<u>Notes</u>:

- Pop-up coverage requires a manuscript form and PLL approval
- Typical rate range: $6-$8

Landscaping Contractor – ISO Code 97047 (Landscaping Services) & 97050 (Lawn Care Services)

A B C Score: A (B for Florida risks)

Description of Operations:

Landscape contractors design, install, and maintain outdoor spaces, combining plants and architectural features in a manner attractive to customers. Services offered may include installation of sod for a lawn, planting of trees, bushes, shrubs, flowers, and other plants, or the installation of retaining walls, fountains, walkways, or other architectural enhancements. Some landscape contractors will change the contours of the grounds, while others will limit their work to planting new or maintaining existing lawns and plants. Additional operations may include installation or winterization of underground sprinkler systems, tree trimming, nurseries or lawn and garden shops.

Hazard Analysis:

- Prem/Ops - At job sites, hazards include injury or damage from stones or other debris thrown by power mowers, trimmers, and other equipment. Tree trimming may result in falling tools, branches or debris that may injure persons, damage vehicles or other property, or fall onto power or communication lines. Use of chainsaws on trunks or limbs and the use of chippers for disposal may result in flying debris that can cause serious bodily injury. Overspray from operations could result in small but frequent property damage losses.
- P/CO - The application of lawn chemicals presents both a premises and completed operations hazard that could result in serious long-term injury, illness, or disease to customers and passersby.

Notes:

- Look for any government work
- Note loss runs
- Will the 20 unit limitation be acceptable?

Wrecking and Demolition Contractor – ISO Code 99986

A B C Score: A (B for Florida risks)

Description of Operations:

Wrecking or demolition contractors tear down buildings, structures, machinery or equipment. Techniques employed vary according to local codes, the type of building or structure being demolished, and the exposure to adjacent properties. Limited demolition work used for remodeling projects may be done with only hand tools (called "tear-out"). On a larger scale, work may be done with a wrecking ball swung from a crane or with explosives. Rough sorting of material may take place, particularly if the insured engages in salvage operations on the equipment, machinery, or building materials. One very major concern is the exposure to and the removal or containment of asbestos and lead from older buildings, requiring the wrecking operation to be carefully done in compliance environmental standards to remove and dispose of those hazardous items.

Hazard Analysis:

- Prem/Ops - Premises liability exposures are extremely high, both at the contractor's premises where explosives are stored and at any site using blasting material. Lack of proper storage on premises or improperly set explosives at the job site may result in severe bodily injury, loss of life, and major structural damage.

Notes:

- Make note of venue (urban vs. rural)
- $10 starting rate with credits for interior work, rural venue, etc.

Carpentry Contractor – ISO Codes 91340 (Carpentry - construction of residential property not exceeding three stories in height), 91341 (Carpentry - interior) & 91342 (Carpentry - NOC)

A B C Score: A (B for Florida risks)

Description of Operations:

Carpenters may perform interior work only, exterior work only, or both. Exterior carpentry includes framing work, such as structural support for a new building or structure. Interior carpenters perform remodeling, repair, finishing or refinishing. Interior carpentry consists of either rough or finish work. Rough work includes framing windows and doors, laying floor joists and subfloors, or stairways. Finish work involves hanging doors, installing baseboards and molding around doors and windows, and making or installing cabinets, shelving or other built-ins.

Hazard Analysis:

- Prem/Ops - Jobsite operations include the potential for bodily injury to the public or employees of other contractors, or damage to their property or completed work. Tools, power cords, building materials and scrap all pose trip hazards even when not in use. In enclosed buildings, the buildup of dust and scraps can result in catastrophic fire and explosion.
- P/CO - Completed operations liability exposures are high if the carpenter provides the structural framework of a building due to the potential for collapse.

Notes:

- Rackley rating will be high
- 91341 (Carpentry - interior) is preferable, 91340 & 91342 will be used more for framing exposures

<u>Plumbing Contractor</u> – ISO Codes 98482 (Plumbing - Commercial and Industrial) & 98483 (Plumbing - Residential or Domestic)

A B C Score: A (B for Florida risks)

<u>Description of Operations</u>:

Plumbing is the installation, fitting, repairing, and maintenance of the water, waste disposal, drainage, and gas systems in residential, commercial, and industrial buildings. Plumbing contractors typically work on bathroom fixtures, such as bathtubs, showers, toilets, and sinks, and piping for appliances like dishwashers, hot water heaters, and water softeners. Plumbers may also work on automatic sprinkler systems, fire lines and standpipes used for fire protection, irrigation systems, and partial hookups of septic systems. Some insureds may also perform excavating services. In conducting their operations, plumbers use various tools that include pipe cutters, pipe-bending machines, saws, and wrenches. Plumbers work in three phases: they plan the work from blueprints and drawings, often in combination with instructions from supervisors. The blueprints and plan layout are usually created with computers. Secondly, they will conduct rough plumbing, which involves installing all of the water supply lines for each fixture, sewer lines, and vents. The final step is to install all the fixtures. Generally, plumbers provide parts in addition to labor.

<u>Hazard Analysis</u>:

- Prem/Ops - Additions, alterations, and repair work present exposures since the contractor will be responsible for any damage to the existing structure and its furnishings in these situations. Tarps, structural supports, and other measures should be implemented to prevent damage to those areas that would otherwise remain unaffected by the plumbing work. For plumbing contractors that perform excavating operations, falls into open trenches and cave-ins present a primary exposure for visitors allowed onto the job site. Additional claims may arise from hitting underground utility lines.
- P/CO - In some cases, such as pressure vessel welding, losses may result from an explosion caused by a faulty weld and gas piping (that could cause leaks); after the fact, however, it may be difficult to determine if the insured's faulty work caused the explosion. Other claims will arise from faulty and incorrect waste and vent pipe installation and maintenance that may cause fires, the production and release of toxic gases, flooding, and water damage. Although the most common claims are for water damage and flooding.

<u>Notes</u>:

- Make note of any CD claims
- Note the sales breakout between HVAC & plumbing operations
- Typical rate range $8-$10

HVAC Contractor – ISO Codes 95647 (Heating Or Combined Heating And Air Conditioning Systems Or Equipment - Dealers Or Distributors And Installation, Servicing Or Repair - No Liquefied Petroleum Gas (LPG) Equipment Sales Or Work), 95648 (Heating Or Combined Heating And Air Conditioning Systems Or Equipment - Dealers Or Distributors And Installation, Servicing Or Repair - NOC) & 91111 (Air Conditioning Systems or Equipment - dealers or distributors and installation, servicing or repair)

A B C Score: 95647 – B, 95648 & 91111 – A (B for Florida risks)

Description of Operations:

Heating, ventilation, and air conditioning (HVAC) contractors install, repair, and maintain the many mechanical, electrical, and electronic components that are part of heating and air conditioning systems for clients in residential, commercial, industrial, and other buildings. They work with components such as motors, compressors, pumps, fans, ducts, pipes, thermostats, and switches. Many HVAC contractors also sell heating or cooling units (i.e., furnaces and air conditioners), as well as accessories such as thermostats, fans, and humidifiers. Insureds may also perform duct and vent cleaning services, which are similar to the services provided by chimney cleaning services companies. These contractors also may offer radon mitigation services. HVAC contractors will install heating and cooling units and ventilation systems in buildings under construction. They may also retrofit or install such systems in older buildings; in some cases, these activities include the removal of an existing system.

Hazard Analysis:

- Prem/Ops - The work site will have an increased exposure because of the operation of some machinery and specialized equipment. Clients or passersby may be struck and injured or killed by equipment dropped from heights or may trip over carelessly arranged tools and materials. Careless or incorrect use of equipment and machinery poses a threat to the public by causing excessive noise, property damage, or bodily injury to customers, bystanders, and visitors. The contractor may also damage the client's property while repairing or installing heating and air conditioning units.
- P/CO - Products exposure may arise from the sale of heating and air conditioning units and components and a Completed Operations exposure arising from their improper installation of heating and cooling units and components. Incorrect installation and maintenance operations may cause fires and explosions, the production and release of toxic gases, flooding, and ultimately water and soot damage. The most common claims may be for water damage and flooding caused by poorly installed boiler piping.

Notes:

- Note any water damage, CD claims
- Class is frequency driven
- Typical rate range $6-$8

Roofing Contractor – ISO Codes 98677 (Roofing - Commercial), 98678 (Roofing - Residential)

A B C Score: A (B for Florida risks)

Description of Operations:

Roofing contractors repair and install roofs of tar, asphalt and gravel, rubber, thermoplastic, or metal, as well as shingles of slate, asphalt, fiberglass, wood, or tile. While most roofing work involves repairing or replacing old roofs on existing buildings, roofers may be subcontracted to handle the roofing work for new construction projects. Roofing contractors also perform other services, such as: waterproofing and damp-proofing masonry, concrete walls, and concrete floors; sheet metal work; siding installation; gutter cleaning and installation; and installing solar panels.

Hazard Analysis:

- Prem/Ops - Work site will have an increased exposure because of the operation of some machinery and specialized equipment. Clients or passersby may be struck and injured or killed by equipment dropped from heights or may trip over carelessly arranged tools and materials. Careless or incorrect use of equipment and machinery poses a threat to the public by causing excessive noise, property damage, or bodily injury to customers, bystanders, and visitors. The contractor may also damage the client's property while repairing or installing a roof. The use of torches, hot-air welders, and heating kettles, and the application of molten bitumen all pose a possibility of igniting fires, in which case a customer's building can be badly damaged or destroyed.
- P/CO - The most common claims will be for water damage as a result of incorrect installation or repair work.

Notes:

- Typical rates starting at $11.50+

Excavation Contractor – ISO Codes 94007

A B C Score: A (B for Florida risks)

Description of Operations:

The primary purpose of excavation contractors is land preparation in the construction industry. These services include, but are not limited to, digging foundations for buildings, and trenching and drilling shafts to accommodate water, sewerage, or utility pipelines. Other operations that excavation contractors may perform include land clearing (i.e., the removal of obstructions, such as trees or brush, from a site), grading (i.e., leveling of land), and some concrete work, such as the pouring of foundations for roads, houses, or other buildings.

Hazard Analysis:

- Prem/Ops - Injuries to bystanders, such as falls into open trenches may be a concern. Work sites may be viewed as an attractive nuisance. Many excavation operations will be conducted on construction sites or in or near densely populated areas; third party damage, particularly severance of underground utility lines or destruction of existing underground structures, can occur, and structural damage to adjoining or nearby buildings can range from mild to serious. Additional claims may arise from hitting underground utility lines.
- P/CO - Claims of settling from insufficiently compacted soil or soil erosion from excavation operations may occur. Soil must be compacted in layers to achieve thorough compaction. Additional claims may arise from improperly connected utility lines.

Notes:

- $50,000 minimum premium for sinkhole remediation
- Refer to Brokerage Casualty Subsidence Guidelines (11/09/2015) for risks in Texas and Florida.

Janitorial Contractor – ISO Codes 96816

A B C Score: B

Description of Operations:

Janitorial services clean the interior of premises for commercial, industrial, and institutional clients. Some provide exclusive services to one client only, while others have a number of regular clients or offer services to the public on an "as needed" basis. Typical services include the removal of trash from all areas of the premises, cleaning restrooms, dusting, and regular vacuuming, mopping or sweeping of floors. Other services may include cleaning carpets, draperies, or eating areas, polishing floors, and window washing.

Hazard Analysis:

- BI- Slip and fall injuries to the client's employees or customers due to wet, slippery floors, spills and equipment and supplies impeding access. The absence of basic controls (e.g., scheduling to minimize any work done while the premises are open for business, proper caution signs, the use of non-slip finishes, etc.) may indicate a morale hazard.
- PD- Damage to customers' property from spills, marring, scratched surfaces, and the upset or dropping of breakables. Many of these fall under the care, custody and control exclusion, and should be covered under inland marine bailees' forms.
- Failure to secure the premises during cleaning and especially upon completion of the work. This hazard increases with high employee turnover which is common in the janitorial industry.

UW Bulletin 2016.8 – Janitorial Contractors

New business minimum premium on the class is **$100,000**

UNDERWRITING CONSIDERATIONS

- Janitorial contractors must have at least five years of historical loss information
- On risks averaging more than 4 losses per year, the underwriter must complete a loss stratification
- Risk pricing must equal the greater of Rackley ISO pricing and loss stratification pricing (any deviation from this should be referred to the PLL)
- On risks averaging more than 7 losses (even closed, no pay), the minimum attachment will be a $25,000 Self insured retention (no deductibles)
- Any risk where the sum of work in airports, grocery/convenience stores, hospitals and / or shopping centers is greater than 25% of their overall operations shall be a PLL referral and will only be considered eligible when the risk is exceptional.
- Any risk doing janitorial work in apartments in the states of New York or Florida are ineligible

<u>Handyman</u> – ISO Codes <u>95625</u>

A B C Score: B

<u>Description of Operations:</u>

A "handyman" or "handyperson" is an unlicensed contractor who offers home maintenance, small home repairs and simple installation services. They may do minor carpentry, plumbing, electrical work, painting, plastering or drywall work, but nothing requiring a license or permit. Specialties such as roofing, air conditioning or furnace installation do not fall into the job description of a handyman.

Not a class we write frequently/see a lot of submissions for.

<u>Hazard Analysis:</u>

- BI to the client and/or third parties.
- PD to the client's property or surrounding property.
- Tools, power cords, building materials and scrap material all create the potential for slip and falls.
- If there is work at heights, falling tools or supplies may cause bodily injury and property damage if dropped from ladders and scaffolding.
- Completed operations liability exposures should be fairly minor since handymen usually do not handle or install items where incorrect installation would result in significant damage. It is important for a handyman to work or perform duties within his or her ability. Clear guidelines should be established with clients as to what jobs can and cannot be completed by the handyman.

<u>Cable Layers & Telecommunications Contractors</u> – ISO Codes <u>91302</u>- cable installation in conduits or subways; <u>91577</u>- conduit construction for cables or wires; <u>99613</u>- telephone, telegraph or cable television line construction; <u>97654</u>- Metal Erection - steel lock gates, gasholders, standpipes, water towers, smokestacks, tanks, silos, prison cells, fire or burglar-proof vaults- <u>97654</u> is used for erection/maintenance/service of telecommunication towers.

A B C Score: A (B for Florida)

<u>Description of Operations:</u>

Cable laying contractors install and repair overhead or underground cables and lines used to provide electricity or communication services including telephone, cable television, and the Internet. The lines may be made of copper or fiber optic covered with heavy-duty plastic sheathing.

Operations consist of excavating trenches, laying the cable, placing the cables into the trenches, then filling in the trench with dirt or other materials. The lines from individual buildings or residences, often already laid by electricians or other contractors, are then hooked up to the system.

Contractors working on telecommunications towers could be involved in new construction/tower erection, tower maintenance, or tower repairs. These operations fall under the ISO classification 97654.

<u>Hazard Analysis:</u>

- Shutoff and lockout procedures must be in place to make sure the cable or lines are not live. Live wires can cause electrical fires and burns.
- Digging and other operations can result in cutting utility cable, damaging property of the utility company and disrupting service to neighboring residences or businesses.
- Third parties and employee injuries due to trips and falls over debris, equipment, or uneven ground.
- Work on telecommunications towers presents a height exposure that could result in employee falls and falling objects.
- Completed operations exposures can be very high if the cable is not properly installed. Loss of power or communications could result in loss to businesses such as hospitals or to residences.

<u>Pricing:</u>

- Rate Range: $8 - $10; Rates usually in the $15+ range for tower contractors.
- Heavy directional boring exposure → higher minimum premiums starting around $25,000.

<u>Boring – Directional of Horizontal</u>

The classification depends upon whether the insured is installing the conduit or not. If the insured installs conduit, "Conduit Construction for Cables or Wires," code 91577 is correct. If not, "Tunneling," code 99798 is correct. Both codes may be used on the same policy as construction classifications are assigned independently by job or location. However, code 91577 contemplates the tunneling work incidental to the conduit construction, so it is highly unlikely that both codes would be used at the same job

<u>Electrical Contractors</u> – ISO Codes <u>92478</u>- electrical work within buildings - contemplates the complete wiring of buildings, installation of outlets, electrical panels and electrical fixtures; <u>92446</u>- electric light or power line construction (NOC); <u>92451</u>- electrical apparatus installation, service or repair (NOC).

A B C Score: A (B for Florida)

<u>Description of Operations:</u>

Electrical contractors install, service, maintain and repair electrical wiring, conduits and fixtures both inside and outside of residential and commercial buildings.

- Inside contractors install electrical wiring used for powering machinery, equipment, and lighting systems.
- Outside contractors install overhead power lines and underground electrical cables. Most states require electrical contractors to be licensed.

We do not write a lot of these contractors because it is usually program business.

** Contractors doing runway lighting for airports is prohibited. **

<u>Hazard Analysis:</u>

- Electrical voltage must be turned off at the job site to reduce the risk of electrical burns or electrocution to others entering the area, and turned back on after work stops, all while minimizing any disruption of electrical service to other homes or businesses in the vicinity.
- Electrical work can be invasive and require work throughout a home or business, resulting in a high potential PD.
- Job sites should be restricted by barriers and proper signage to protect the public from slips and falls over tools, power cords, building materials, and scrap. If there is work at heights, falling tools or supplies may cause bodily injury or property damage if dropped from ladders and scaffolding.
- During construction, other contractors typically depend on electricity for lighting and power to perform their work. In existing structures, the contractor must take care to control the electrical flow as new lines are installed alongside existing ones. Power fluctuations may damage sensitive equipment.
- Exterior electrical contractors must notify other utilities to prevent down time to their customers and must prevent surges to their own customers. Contractors laying underground cables should verify the absence of other utility lines prior to digging to avoid cutting into gas, water or communications cables.
- Underground laying of cables involves trenching which requires physical barriers to prevent others from falling into open areas.
- Completed operations liability exposures can be severe due to improper wiring or grounding. Both power failures and power surges resulting from the contractor's negligence may result in significant bodily injury or property damage. Work for medical facilities, large manufacturers, and alarm system installation can present the potential for catastrophic loss.

Security System/ Alarm Installation Contractors – ISO Codes 91127- alarm and alarm systems-installation, servicing and repair.

A B C Score: A (B for Florida)

Description of Operations:

Alarm service contractors design, install, maintain and repair security systems in residences and businesses. The contractor designs a system to meet the customer's requirements, and then installs the wiring, control boxes and other necessary devices throughout the premises as contracted. The alarm system may include motion detectors, laser beams, ocular or fingerprint reading devices, and cameras. It may be monitored locally, through a central station monitoring service, the police department and/or the fire department. Systems range from the very simple to incredibly complex.

Incidental monitoring is ok; however, if monitoring work makes up more than 10% of payroll, the risk should be declined. Insureds who subcontract out the monitoring operations are okay. When in doubt, check with the underwriter.

Hazard Analysis:

- The installation of alarm systems at job sites can be invasive and require work throughout a home or business, resulting in a high potential for PD to the client’s home, business, etc.
- Employees may use information gained by installing the alarm to return and cause bodily harm or PD at the client's premises.
- Completed operations exposures include faulty operating systems that could damage the client's premises, or failure of the system to operate correctly and result in bodily injury or property damage. Alarm contractors are held to a high degree of care because of the trust their customers necessarily place in their work.
- Any time security issues are involved and a fire or crime occurs, the exposure of the contractor who promises safe, secure premises from the installation and use of a product can result in significant products losses. Note: severe exposures may be present in alarm system installations at medical facilities, prisons, large manufacturers and certain residences.

Millwrights – ISO Codes 97221- machinery or equipment (farm equipment), 97222- machinery or equipment (industrial), 97223- machinery or equipment (NOC)

** Prioritize these risks when triaging as they are a favorable class of business for us- be sure to bring them to the underwriter's attention. **

Losses are usually low frequency/high severity. If the insured has had a prior loss, this may increase our ability to compete.

A B C Score: A (B for Florida)

Description of Operations:

Millwrights specialize in the construction, maintenance, and repair of large machinery, conveyor systems and other industrial equipment in fixed locations. Millwrights receive the parts to be installed, interpret blueprints and technical instructions for assembling, overhauling, or dismantling the machinery, and constructing or supervising the construction of the system being installed. Typically, millwrights work closely with the manufacturer of the machinery and with the repair staff at the customer's plant or operation.

Hazard Analysis:

- Liability exposures are very high as much of the work may have to be carried out during working hours while the customer's employees are on the premises. The millwright must nevertheless control access to the area and adequately post the areas of operations and the dangers.
- Electrical voltage must be turned off during installation in order to reduce the risk of electrical burns or electrocution to others entering the area, and turned back on after work stops, all while minimizing any disruption of electrical service to other businesses in the vicinity.
- Welding presents potential for burns or setting the property of others on fire if not conducted safely.
- Pressure-testing boilers, other pressure vessels and piping present a potentially severe exposure. Any delay caused by the millwright could result in a claim for costly down time for the customer.
- Completed operations liability exposure can be severe due to improper installation. QC procedures are important as the millwright must follow all manufacturer's guidelines and specifications. If a machine installed or repaired by the millwright malfunctions, the cost to investigate and litigate the resulting BI and PD claims could be very high. Not only can a malfunction cause injury to the customer's employees and property, resulting in down time, but the customer's products could be faulty due to improper calibration of machine tolerances.

Pricing:

- Rate Range: $5 - $8 (with some flexibility to dip below $5 for the right risk).

Street & Road/Paving Contractors – ISO Codes 9932- Street or Road Paving or Repaving, Surfacing or Resurfacing or Scraping; 99315- Street or Road Construction or Reconstruction; 91266- Bridge or Elevated Highway Construction - concrete; 91265- Bridge or Elevated Highway Construction - iron or steel; 92215- Driveway, Parking Area or Sidewalk - paving or repaving.

A B C Score: B

Description of Operations:

Street and road contractors build, maintain, or repair streets, highways and interstates. After the route is designed and the land cleared, road construction consists of grading and compacting the earth, laying a bed of gravel, laying down the subsurface road bed (usually of cast-in-place reinforced concrete), surfacing the road with pavement, and drying and curing. Road contractors may perform all of these operations, or just the sub-surface work. Bridges, underpasses and viaducts, and projects over or near water involve additional steps.

Paving contractors clear and level job sites and pave streets, roads or highways, driveways, parking lots, tennis or other athletic courts. Paving is the process of laying down the uppermost surface ("wearing surface") which must withstand the wear-and-tear from tire friction and from the elements. A cold or hot mixture may be used for paving- Cold mixtures can be used at lower temperatures but are not as strong or durable; these are often used for temporary repairs and patching. Hot mix is a durable combination of asphalt and concrete.

Hazard Analysis:

Street & Road - At job sites, the operation of heavy machinery and asphalt plants presents numerous hazards to the public and to employees of other contractors. Road contractors must contend with vehicular, bicycle, and foot traffic. The smoke, dust and noise generated by paving operations are often just nuisance hazards. The uneven ground, hot tar, and heavy machinery may result in serious injuries to passersby and motorists, as well as property damage to adjacent vehicles, buildings and residences. Grading and trenching may result in damage to underground lines or piping, some of which may be catastrophic. Serious traffic accidents may occur in the absence of an appropriate barricading system and clear marking of streets and roads that are closed. The party responsible for warning signs, barricades and other precautions for drivers must be spelled out in any contract. If the insured does road work on bridges there may be hazards to persons and property due to falling objects. Work near water also poses unique hazards.

Completed operations liability exposures can be very high. Attention must be made to the set and curing of the roadbed to ensure a solid foundation. The mixture of the cement and concrete and the materials used to harden and cure must meet the specifications regarding strength and hardness for the end use of the construction project. If the roadbed cannot support the required traffic, the entire road may shift or collapse. On bridges, underpasses and viaducts, this may result in severe consequences. On a land road, cracks or potholes may cause vehicle damage, traffic accidents, and expensive repairs.

Paving - The operation of heavy machinery and asphalt plants presents numerous hazards to the public and to employees of other contractors. While a new parking lot may be paved with little exposure to the public, most paving contractors must contend with vehicular, bicycle, and foot traffic. The uneven ground, hot tar, and heavy machinery may result in serious injuries to passersby and motorists, as well as property damage to adjacent vehicles, buildings and residences. Serious traffic accidents may occur in the absence of an appropriate barricading system and clear marking of streets and roads that are closed. The party responsible for warning signs, barricades and other precautions for drivers must be spelled out in any contract.

Completed operations hazards vary with the type of operations. Private driveways are generally low hazard work, while trip and fall hazards in a retail parking project may result in a serious bodily injury loss. Most hazardous of all are airport tarmac and runway projects due to the catastrophic potential of an accident involving a plane full of passengers. QC and full compliance with all construction, material, and design specifications is necessary, as is documentation of customer specifications, work orders, change orders, and inspection and written acceptance by the customer.

Minimum Premiums:

- Highway-
- Interstate-
- Parking lot & Driveway-
- Infrastructure-

** Loss history will drive pricing for these risks. **

Painting Contractor- ISO Codes 98303- building exterior exceeding three stories (NOC); 98304- exterior three stories or less (NOC); 98305- interior of building or structure; 98306- oil or gasoline tanks; 98307- ship hulls; 98308- shop only; 98309- steel structures or bridges

A B C Score: A (B for Florida)

Description of Operations:

Painting contractors do interior and exterior painting of residential or commercial buildings, other structures, such as ships or bridges, street or parking lot striping, and signs. Painters may perform work on new construction, in connection with ongoing maintenance, or during renovation. Typically the work involves surface preparation (including removal of old wall coverings), application of the paint, finish work, and cleanup. The removal and disposal of lead-based paints from older buildings and structures presents a lead contamination exposure affecting liability, environmental, and workers compensation.

Hazard Analysis:

- BI to members of the household, the public, or employees of other contractors, or damage to their property or completed work.
- Tools, power cords, painting materials and scrap all pose slip and fall hazards.
- Work at heights, falling tools or supplies may cause bodily injury or property damage if dropped from ladders and scaffolding.
- Removal of old paint or wall coverings may involve scraping, chemical applications, or sandblasting which can damage other property of the client.
- Exterior painting presents an over spray exposure which may damage surrounding premises, vehicles, or structures. All exterior spray painting or sandblasting operations need to be handled with great care. When interior work is done in buildings, ships, tanks, or other structures, ventilation is vital for the safety of clients, passersby, and the contractor's workers since fumes can cause severe BI.

Pricing:

- Interior painters- $4 range.
- Exterior painters- $6+ - higher hazard work like high rise commercial buildings → higher rates.
- Pay attention to the entity’s loss history.

General Contractors Triage Guide

Description of Risk

A general contractor will be defined as any person or company that enters into a direct contract with a property and is responsible for planning and directing a construction project from its inception to its completion. When a building needs to be constructed or extensively modified, a building contractor is typically contacted to do the job. The general contractor will enter into a contract with a site proprietor or owner who has plans to construct a building or modify an existing one. The building industry involves the coordination of workers from many trades, such as masons, electricians, engineers, and carpenters. These various specialized workers are generally known as subcontractors, or more simply as subs, and though they may work alone, many work with a company that specializes in its specific field.

Premises and Operations

Premises and Operations exposure: Slips, trips, and falls will be the main exposure in office areas. A general contractor may work out of a small retail office, home office, or large office building with reception area and meeting rooms. The layout of a construction site will vary, but it will typically include one or more office trailers or other temporary facilities from which contractors and subs conduct their on-site business operations; portable sanitation facilities; portable power generators and heaters; and an assortment of heavy equipment and machinery. Worksites may be viewed as an attractive nuisance, and the use of heavy machinery may lead to excessive noise claims. In addition, third-party damage, particularly structural damage to adjoining or nearby buildings caused by construction operations, will also be covered and may range in severity from mild (e.g., broken windows) to considerable (e.g., collapsed walls). Open excavation trenches, high-hazard work areas and possibly explosions are among the hazards faced by visitors to building construction sites. Visitors to the construction site will include site inspectors, subcontractors (subs), delivery personnel, and salespeople. Subcontractors and other contractors may be considered third parties and will also be covered under this line. Additionally, the general contractor may also be liable for damage to other third parties resulting from work contracted out to subs.

Product Liability and Completed Operations

Insureds may be held liable for any problems that arise due to performance, including work they have contracted out to subcontractors (subs). In addition to quality of work, the quality of building materials used in construction could be an issue, and could result in legal claims. Performing inferior work could trigger claims against builders. ***Two important factors an underwriter should consider regarding general contractors are their loss history and the loss histories of the subcontractors with whom they frequently work.***

Automobile Liability

General contractors will have a moderate Automobile Liability exposure, as they usually own a limited number of vehicles. Most workers and subcontractors are expected to provide their own vehicles for transportation of personnel, materials, and equipment and, therefore, a nonowned vehicle exposure will exist. It is acceptable to underwrite and offer HNOA coverage when the exposures are extremely limited.

APPETITE:

COMMERCIAL

Commercial | Apartment | Industrial | Infrastructure

RESIDENTIAL

Custom Home | Tract Home | Condo/Townhome | Boutique Development < 20 Units

General Contractor Appetite by State

CO – all residential and commercial is prohibited

HI, OR, SC, WA – All residential is prohibited – commercial only

Acceptable Risks:

- Apartments with condo conversion exclusion
- Commercial Buildings

AZ, CA, NV – All residential is prohibited* – commercial only

Acceptable Risks:

- Apartments
- Commercial Buildings

Prohibited:

- Residential Construction*

**There are exceptions that can be made for residential General Contractors. All residential business that fits this category must be underwritten in the West region for select WCRC brokers*

Exceptions include: Work on new True Custom single family homes and homes built on spec; GCs who only do renovation/repair/remodel work; Project Specific policies. Minimum Premium: Practice - $15,000 (renovation/remodel)

Louisiana - NO Homebuilders – These are written through the Louisiana Homebuilder Association

Acceptable Risks:

- Commercial Construction
- Apartments – OK with condo conversion exclusion
- Condo/Townhome – Requires 20 unit limitation

Prohibited:

- Custom Home
- Tract Home
- Boutique Development

New York

All NY construction accounts must be approved by Ann Marie Moriarty or NE Regional Management.

Paper GCs not exposed to height: Minimum Premium $45,000; New York GC and Owner's Interest benchmarks will be calculated at the PLL level, not using slot rate tables below.

Prohibited:

- Any contractor performing work in the five boroughs of NYC

Florida

All residential business must be referred to Southeast region management (Hunter/Kate)

Acceptable Risks:

- Commercial Construction
- Apartments – OK with condo conversion exclusion
- Custom Home
- Tract Home – Requires 20 unit limitation
- Condo/Townhome – Max 35 units and on project only
- Boutique Development

All Other States

Acceptable Risks:

- Commercial Construction
- Apartments – condo conversion exclusion preferred
- Custom Home
- Tract Home – No 'nationwide' homebuilder (>75 starts/yr)
- Condo/Townhome – Project only when more than 50 units
- Boutique Development

Prohibited:

- Nationwide homebuilders/ tract home builders as defined as having annual gross sales > $100M at any point in the past five years and or more than 100 starts per year

OTHER COVERAGES:

Auto Liability - Hired / Non-Owned Auto

We should look to avoid true HNOA exposures that are better covered on an auto policy and underwritten by an auto focused underwriter. It is acceptable to underwrite and offer HNOA coverage when the exposures are extremely limited. If the insured has an automobile policy, we should decline the exposure. Underwriters should secure a completed HNOA supplemental and pricing should reflect the number of drivers and frequency of hired vehicles. **Minimum premium of $2,500 should be standard.**

SUBSIDENCE

COMMERCIAL WORK - Underwriters may choose to remain silent with regards to subsidence. Use your best judgement and exclude subsidence when you perceive the exposure to be greater than the price you are able to get on the account.

RESIDENTIAL WORK

Work in Texas

Underwriters may choose to remain silent with regards to subsidence. Underwriters are encouraged review Markel's latest Texas State Specific Subsidence by City chart and price / decline risks accordingly. Tract builders with 10+ homes / development within areas of increased propensity should be declined or subsidence excluded.

Work in Florida

GC/Homebuilder Policies located in venues with an increased propensity to subside must be addressed with subsidence exclusion or declined (preferable).

All Other States

Practice Policies: Underwriters may choose to remain silent with regards to subsidence.

PRICING

Markel Benchmark Pricing

Underwriters must establish benchmark pricing on each risk.

- On accounts with average annual claim amounts < 4 claims a year use: slot rating table below

- On accounts with average annual claim amounts > 4 claims a year and where there is sufficient frequency to make the results credible and/or GWP > $250,000 and < $500,000 use documented underwriting discretion to determine the right benchmark pricing by utilizing both ISO rating/Slot Rating + Loss Stratification tool.

- On accounts with GWP > $500,000 PLL involvement is mandatory. You should utilize PLL to determine benchmark pricing.
- Underwriters should review Gross Sales to Payroll and Subcontracted Cost ratios with a critical eye to confirm rating exposures provided on the Acord / Supplemental are accurate.
- Standard deductible should be $5,000 with higher attachments used where the account warrants

**NOTE – No credit authority exists for these slot-rates. Underwriters can refer to their Regional underwriting managers who have up to 5% credit authority on these rates. Any further reduction must be formally referred to the PLL prior to quote. No deductible credits should be applied to these rates either. Please refer to PLL if you are utilizing a deductible of $50k or higher and seek a lower rate.

General Contractors – Rating Basis, rated on Total Cost

**Does not apply to New York General Contractors*

High Hazard States (HI, OR, AZ, NV) – Final Rate on Total Cost (as defined by ISO)

Sub Class	< $5mm Cost	5-20mm Cost	20-50mm Cost	>50mm Cost	Min Premium
Custom Single Family Homes	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**
Non-Custom Single Family Homes/Tract	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**
Com'l Grade Condo/Townhomes	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**
Non Com'l Grade Condo/Townhomes	**N/A**	**N/A**	**N/A**	**N/A**	**N/A**
Com'l Grade Apartments	**3.50**	**3.10**	**2.85**	**2.25**	**15,000**
Non-Com'l Grade Apartments	**3.85**	**3.35**	**3.20**	**3.00**	**20,000**
Commercial	**3.00**	**2.50**	**2.25**	**2.25**	**15,000**

Medium Hazard States (CA, FL, WA, SC) – Final Rate on Total Cost (as defined by ISO)

Sub Class	< $5mm Cost	5-20mm Cost	20-50mm Cost	>50mm Cost	Min Premium
Custom Single Family Homes	**$5.25**	**$4.65**	**$4.25**	**N/A**	**$15,000**
Non-Custom Single Family Homes/Tract	**6.50**	**6.00**	**5.20**	**N/A**	**$30,000**
Com'l Grade Condo/Townhomes	**5.50**	**5.00**	**4.70**	**3.95**	**$25,000**
Non Com'l Grade Condo/Townhomes	**7.75**	**7.00**	**5.65**	**5.65**	**$100,000**
Com'l Grade Apartments	**3.25**	**2.85**	**2.50**	**2.10**	**$15,000**
Non-Com'l Grade Apartments	**3.75**	**3.25**	**3.00**	**2.70**	**$25,000**
Commercial	**3.00**	**2.50**	**2.25**	**2.00**	**$15,000**

All Other States – Final Rate on Total Cost (as defined by ISO)

Sub Class	< $5mm Cost	5-20mm Cost	20-50mm Cost	>50mm Cost	Min Premium
Custom Single Family Homes	**$4.50**	**$4.10**	**$3.95**	**N/A**	**$15,000**
Non-Custom Single Family Homes/Tract	**6.25**	**5.25**	**5.00**	**4.75**	**$25,000**
Com'l Grade Condo/Townhomes	**5.25**	**4.50**	**4.25**	**3.75**	**$25,000**
Non Com'l Grade Condo/Townhomes	**6.50**	**5.00**	**4.65**	**4.50**	**$25,000**
Com'l Grade Apartments	**3.25**	**2.70**	**2.25**	**1.97**	**$15,000**
Non-Com'l Grade Apartments	**3.50**	**3.00**	**2.50**	**2.25**	**$20,000**
Commercial	**3.00**	**2.35**	**2.00**	**1.85**	**$15,000**

Project Specific Triage Guide

Identifying Project Specific Policies

Accounts qualify as project specific when the scope of work is specifically given to us, with the particular location noted as well as a specific amount of time.

These accounts typically cover premises operations (slip & fall) as well as completed ops (construction defects down the line). From the insureds perspective these are preferable because they can determine full amount of insurance initially and can borrow the right amount of money from the bank. You also pay total premium amount up front, there is no financing dragging out the payments. Coverage can also be customized to each individual project for unique businesses, etc.

From the carrier side we like it because we can understand what's truly happening on site which gives us more confidence in writing these accounts. We also know exactly what kind of limits are set-up for a project—there is no stacking of limits with project specifics.

> **OCP (Owners & Contractors Protective)** – A policy providing very limited coverage that only insures the owner of the project for vicarious liability put on them by general contractor actions, also covers negligent hiring by owner. No completed ops exposure.
>
> **GL – Owners Interest** – Standard ISO General Liability policy covering only the owner, but does cover all of the owners' exposures, (usually required by bank in order to lend money). This option is slightly more expensive but typically more appropriate.
>
> **GL – General Contractors Interest** – A policy that provides coverage for the typical construction liability policy for a contractor on a particular project
>
> **GL – Owner & General Contractors Interest** –The most common project specific set-up, similar to general contractor policy but owner gets benefit of being named insured on policy which will also satisfy the bank therefore it is likely the most convenient.
>
> **Wrap-Up (OCIP/CCIP)** – A policy providing coverages(s) for all interests in a major construction project—also known as an OCIP (Owner Controlled Insurance Program) or a CCIP (Contractor Controlled Insurance Program). They cover everyone on the jobsite including owners, general contractors and subs. Because this is a comprehensive program, it usually costs more due to greater exposure. This is appropriate for tough venues and tough construction types. Those insured under a wrap policy usually need to hire an administrator to be on site to oversee insurance requirements. These policies are not appropriate for low hazard venues where subcontractors can easily and affordably get their own insurance. The policy is better in a state that is more litigious like FL rather than VA.

Setting Up a RAM for Project Specific Policies

Owners and Contractors Protective (OCP)

Code: 16292 (Construction Operations- owner- NOC- excluding operations on board ships)

Class Specific:
Insured's Role - Owner (Always)
Project Name - Name of Project
Project Location - Address of Location
Project State – Must match state in location address
Project Description - Describe the project in general (i.e. construction of a 56,000 square foot museum in New Orleans, LA)

Unit Type Grid
Add the number of units, stories of structure, construction type, and any additional notes that may be specific to the unit (i.e. a parking deck of an apartment building may be constructed of concrete block, whereas the structure of the building that contains the actual apartments may be wood frame). In this section you should distinguish between the construction types.

Surrounding Exposures
For the project itself you will need to be able to find where the project is located. There are 3 options for this tab. If the project specific supplemental does not offer this information you can always do a google search of the address to see if you are able to get a picture of the location to distinguish if it is an urban, suburban/light commercial, or rural location

Geotechnical Report
Under this tab you have 5 options from which to choose. You may select whether there is no report, personally reviewed - good, or personally reviewed- concerns. After reading through a report you may select one of these three options based on what you find in the report. Because geotech reports are usually lengthy, search the report for the conclusive summary of findings that show recommendations for the construction process. There are 2 remaining options, LC reviewed- good, and LC reviewed- concerns. These selections are for our loss control department to use for inspection purposes.

Does the product include demolition work?
For this tab there are 3 options. This information should be found on the supplemental application. If you are unable to find any information regarding demolition you should then select the "unknown" option.

Named insured building to own or sell?
For this tab you have to select whether the building (or project) will be owned by the insured, will be sold, or unknown. Since OCP policies are for owners, then you should select the "own" tab.

Name of Contractor - Fill in the name of the contractor on the project. This information should be located on the supplemental, but you may have to review other documents included in the submission if this information is not included on the supplemental.

GC Liability Limits - Information will be found in the general contractor section of the application

GC Experience on this type of work - This information will be found in the general contractor section of the application

ECO Provided?
Extended Products Completed Operations. If this document is included in the submission then select “Yes” if not select “No.” Occasionally the supplemental application will indicate whether or not this is included. This is form normally provided.

Deductible: $0

Loss Information: Include any loss information provided.

General Liability Limits:

General Aggregate- $2,000,000
Products Aggregate- Excluded
Each Occurrence Limit- $1,000,000
Personal/Advertising Limit- Excluded
Damage to Rented Limit- Excluded
Med Expense Limit- Excluded

General Liability Classification and Premium: Class Code- 16292
Rating Basis- Total Cost per 1,000

MEP: 100%

Notes: OCP has no completed ops exposure. It is the most limited. This type of policy is more concerned with premises exposures. Asks questions like: Is it fenced? What’s around it? Is the general public walking around or through the project?

Hazard Analysis:
Premises Operations – For a building contractor, at the job site, they are ultimately responsible for the job site, all injuries or property damage that results from construction operations, including those that are due to the acts or omissions of subcontractors. Lack of adequate communication between the different subcontractors can cause hazardous working conditions especially if blasting or similar hazardous operations taking place. Heavy machinery used for excavation may cut power lines, disrupting service to other homes or businesses in the vicinity. Welding presents potential for burns or setting the property of others on fire if not conducted safely. The contractor's employees can cause damage to the client's other property or bodily injury to members of the general public or employees of other contractors. Tools, power cords, and scrap all pose trip hazards even when not in use. If there is work at heights, falling tools or supplies may cause damage and injury if dropped from ladders, scaffolding, or cranes. Failure to protect equipment, building materials and property of others left at job sites from theft and vandalism may result in a subrogated loss. Some sites may present significant attractive nuisance hazards as well. All hazards are increased in the absence of properly enforced procedures to control access to the jobsite. For an owner – exposure is relatively low, mostly comes from vicarious liability put on them by the general contractor. The policy relies on general contractor contracts with subcontractors in order to protect themselves from mistakes by the general contractor or subcontractor. Their main risk comes from how involved the owner plans to be on the physical construction site. If an owner gives the “go-ahead” for a crane to move a beam and the beam falls and injures someone, that kind of liability could fall to the owner.

No Completed Ops Exposure

OCP Forms List: (shaded areas include fill in required)

MDIL 1000 (08-11) Common Policy Declarations
MDIL 1001 (08-11) Forms Schedule
MJIL 1000 (08-10) Policy Jacket
MPIL 1007 (03-14) Privacy Notice
IL 0017 (11-98) Common Policy Conditions
IL 0021 (09-08) Nuclear Energy Liability Exclusion
MEIL 1200 (01-10) Service of Suit (All States except CA)
MEIL 1225 (110-11) Changes – Civil Union
MDGL 1012 (01-13) Owners and Contractors Protective Liability Declarations – Designated Contractor: ______ | Designated Project: _________
CG 0009 (04-13) Owners and Contractors Protective Liability Coverage Form
CG 2109 (06-15) Exclusion – Unmanned Aircraft
MEGL 0001-OCP (08-14) Combination General Endorsement – Owners and Contractors Protective Liability
MEGL 0008 (01-16) Exclusion – Continuous or Progressive injury or Damage
MEGL 0170 (05-16) Premium Basis Endorsement
MEIL 1211 (06-10) Minimum Earned Premium Amendment Endorsement – 100%
MEGL 1273 (07-16) Amended Conditions – Other Insurance

GL Owners Interest, GL General Contractors Interest, & GL Owners and General Contractors Interest

Code: 91580-91585 (select appropriate)

91580 – Contractors – **Executive supervisors or executive superintendents**

91582- Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **Apartment or office buildings over four stories**

91583 – Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **One or two family dwellings**

91584 – Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **For industrial use**

91585 - Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **Not otherwise classified**

Class Specific:
Insured's Role – Owner, General Contractor, or Owner & General Contractor
Project Name – Name of Project (found on supplemental app)
Project Location – Project Address
Project State – Must Match State in Location Address
Project Description - Describe the project in general (i.e. Construction of a 260 unit apartment complex in downtown Nashville, TN)

Unit Type Grid
Add the number of units, stories of structure, construction type, and any additional notes that may be specific to the unit (i.e. a parking deck of an apartment building may be constructed of concrete block, whereas the structure of the building that contains the actual apartments may be wood frame). In this section you should distinguish between the construction types.

Surrounding Exposures
For the project itself you will need to be able to find where the project is located. There are 3 options for this tab. If the project specific supplemental does not offer this information you can always do a google search of the address to see if you are able to get a picture of the location to distinguish if it is an urban, suburban/light commercial, or rural location.

Geotechnical Report
Under this tab you have 5 options from which to choose. You may select whether there is no report, personally reviewed - good, or personally reviewed- concerns. After reading through a report you may select one of these three options based on what you find in the report. Because geotech reports are usually lengthy, search the report for the conclusive summary of findings that show recommendations for the construction process. There are 2 remaining options, LC reviewed- good, and LC reviewed- concerns. These selections are for our loss control department to use for inspection purposes.

Does the product include demolition work?
For this tab there are 3 options. This information should be found on the supplemental application. If you are unable to find any information regarding demolition you should then select the "unknown" option.

Named insured building to own or sell?
For this tab you have to select whether the building (or project) will be owned by the insured, will be sold, or whether it is unknown.

Name of Contractor - Fill in the name of the contractor on the project. Information should be found on the supplemental application.

GC Liability Limits - Information will be found in the general contractor section of the application

GC Experience on this type of work - This information will be found in the general contractor section of the application

ECO Provided?
Extended Products Completed Operations. If this document is included in the submission then select “Yes” if not select “No.” Occasionally the supplemental application will indicate whether or not this is included. This is form normally provided.

Deductible: Minimum of $10,000

Loss Information: Include any loss information provided.

General Liability Limits:
General Aggregate- $2,000,000
Products/Completed Operations - $2,000,000
Each Occurrence Limit- $1,000,000
Personal/Advertising Limit- Excluded
Damage to Rented Limit- Excluded
Med Expense Limit- Excluded

You can have excluded modification terms, but it is not common.

General Liability Classification and Premium: Class Code – 91580 – 91585
Rating Basis - Total Cost per $1,000

MEP: 100%

Notes: Most concerned about completed ops. Asks questions like: What’s the quality control like? What’s the GC loss experience? Has the GC had a lot of CD claims?

Hazard Analysis:

Premises Operations – For a building contractor, at the job site, they are ultimately responsible for the job site, all injuries or property damage that results from construction operations, including those that are due to the acts or omissions of subcontractors. Lack of adequate communication between the different subcontractors can cause hazardous working conditions especially if blasting or similar hazardous operations taking place. Heavy machinery used for excavation may cut power lines, disrupting service to other homes or businesses in the vicinity. Welding presents potential for burns or setting the property of others on fire if not conducted safely. The contractor's employees can cause damage to the client's other property or bodily injury to members of the general public or employees of other contractors. Tools, power cords, and scrap all pose trip hazards even when not in use. If there is work at heights, falling tools or supplies may cause damage and injury if dropped from ladders, scaffolding, or cranes. Failure to protect equipment, building materials and property of others left at job sites from theft and vandalism may result in a subrogated loss. Some sites may present significant attractive nuisance hazards as well. All hazards are increased in the absence of properly enforced procedures to control access to the jobsite. For an owner – exposure is relatively low, mostly comes from vicarious liability put on them by the general contractor. The policy relies on general contractor contracts with subcontractors in order to protect themselves from mistakes by the general contractor or subcontractor. Their main risk comes from how involved the owner plans to be on the physical construction site. If an owner gives the “go-ahead” for a crane to move a beam and the beam falls and injures someone, that kind of liability could fall to the owner.

Completed Operations – For the building contractor. The designer and engineer of the project, the quality of materials, and the construction details are all critical. Failure of the insured to maintain quality control and full compliance with all construction, material, and design specifications may give rise to serious loss. This exposure is high. For the owner—again the liability is relatively low, however, if proper GC or subcontractor contracts are not secured the owner could be pulled into potential lawsuits concerning construction defects and other completed operations issues.

GC General Contractors Interest & GC Owners and General Contractors Interest Forms List: (shaded areas include fill in required)

MDIL 1000 (08-11) Common Policy Declarations
MDIL 1001 (08-11) Forms Schedule
MJIL 1000 (08-10) Policy Jacket
MPIL 1007 (03-14) Privacy Notice
IL 0017 (11-98) Common policy Conditions
IL 0021 (09-08) Nuclear Energy Liability Exclusion
MEIL 1200 (01-10) Service of Suit (All States except CA)
MEIL 1225 (10-11) Changes – Civil Union
MDGL 1008 (08-11) Commercial General Liability Coverage Pare Declarations
CG 0001 (04-13) Commercial General Liability Coverage Form
CG 2001 (04-13) Primary and Noncontributory – Other Insurance Conditions
CG 2010 (04-13) Additional Insured – Owners, Lessees, or Contractors – As required by written Contract executed by both parties prior to loss
CG 2018 (04-13) Additional Insured – Mortgagee, Assignee or Receiver – As required by written Contract executed by both parties prior to loss
CG 2037 (04-13) Additional Insured – Owners, Lessees or Contractors – Completed Operations – As required by written Contract executed by both parties prior to loss
CG 2109 (06-15) Exclusion – Unmanned Aircraft
CG 2135 (10-01) Medical Payments Coverage C Exclusion
CG 2136 (03-05) Exclusion – New Entities
CG 2144 (07-98) Limitation of Coverage to Designated premises or Project – Project: Construction of xxxxx located at project address *(ex. "Construction of 20-unit condominium building located at 123 street, city, st 12345)*
CG 2147 (12-07) Employment Related Practices Exclusion
CG 2149 (09-99) Total Pollution Exclusion
CG 2186 (12-04) Exclusion – Exterior Insulation and Finish Systems
CG 2196 (03-05) Silica or Silica Related Dust Exclusion
CG 2243 (04-13) Exclusion – Engineers, Architects or Surveyors Professional Liability
CG 2279 (04-13) Exclusion – Contractors – Professional Liability
ME 037 (04-99) Composite Rate Endorsement - $X.XX per $1,000 of Total Cost
MEGL 0008 (01-16) Exclusion – Continuous or Progressive Injury or Damage
MEGL 0048 (03-13) Deductible Endorsement - $10,000
MEGL 0170 (05-16) Premium Basis Endorsement
MEGL 0241-01 (05-16) Blanket Waiver of Subrogation
MEGL 1349 (01-16) Exclusion – Common Interest Dwelling or Residence Conversions
MEGL 1361 (05-16) Tainted Drywall Exclusion
MEGL 1625 (11-13) Exclusion – Specified States – Colorado and New York
MEGL 1671 (05-16) Exclusion – Punitive or Exemplary Damages
MEGL1681 (07-16) Exclusion – Residential Construction w/possible exceptions: x No Exceptions
MEGL 1849 (08-14) Contractual Risk Deductible Liability: $10,000 w/Risk Transfer | $50,000 w/out Risk Transfer | $10,000 All Other
MEGL 1884 (10-15) Amended Limits of Insurance
MEGL 2202 (01-17) Advantage Extension for Specific Project **this form should not be added when the Insured is self-performing any project work

MEGL 5300 (05-16) Organic Pathogen and Legionellae Exclusions
MEGL 5301 (05-16) Subsidence Exclusion
MEGL 5302 (05-16) Asbestos Exclusion
MEGL 5303 (05-16) Lead Exclusion
MEIL 1309 (11-13) Non-Stacking of Limits of Insurance
MEGL 0026 (05-16) Exclusion – Breach of Contract

GC Owners Interest Forms List: (shaded areas include fill in required)

MDIL 1000 (08-11) Common Policy Declarations
MDIL 1001 (08-11) Forms Schedule
MJIL 1000 (08-10) Policy Jacket
MPIL 1007 (03-14) Privacy Notice
IL 0017 (11-98) Common policy Conditions
IL 0021 (09-08) Nuclear Energy Liability Exclusion
MEIL 1200 (01-10) Service of Suit (All States except CA)
MEIL 1225 (10-11) Changes – Civil Union
MDGL 1008 (08-11) Commercial General Liability Coverage Pare Declarations
CG 0001 (04-13) Commercial General Liability Coverage Form
CG 2001 (04-13) Primary and Noncontributory – Other Insurance Conditions
CG 2010 (04-13) Additional Insured – Owners, Lessees, or Contractors – As required by written Contract executed by both parties prior to loss
CG 2037 (04-13) Additional Insured – Owners, Lessees or Contractors – Completed Operations – As required by written Contract executed by both parties prior to loss
CG 2109 (06-15) Exclusion – Unmanned Aircraft
CG 2135 (10-01) Medical Payments Coverage C Exclusion
CG 2136 (03-05) Exclusion – New Entities
CG 2144 (07-98) Limitation of Coverage to Designated premises or Project – Project: Construction of xxxxx located at project address *(ex. "Construction of 20-unit condominium building located at 123 street, city, st 12345)*
CG 2147 (12-07) Employment Related Practices Exclusion
CG 2149 (09-99) Total Pollution Exclusion
CG 2186 (12-04) Exclusion – Exterior Insulation and Finish Systems
CG 2196 (03-05) Silica or Silica Related Dust Exclusion
CG 2243 (04-13) Exclusion – Engineers, Architects or Surveyors Professional Liability
CG 2279 (04-13) Exclusion – Contractors – Professional Liability
ME 037 (04-99) Composite Rate Endorsement - $X.XX per $1,000 of Total Cost
MEGL 0008 (01-16) Exclusion – Continuous or Progressive Injury or Damage
MEGL 0048 (03-13) Deductible Endorsement - $10,000
MEGL 0170 (05-16) Premium Basis Endorsement
MEGL 0241-01 (05-16) Blanket Waiver of Subrogation
MEGL 1349 (01-16) Exclusion – Common Interest Dwelling or Residence Conversions
MEGL 1361 (05-16) Tainted Drywall Exclusion
MEGL 1671 (05-16) Exclusion – Punitive or Exemplary Damages
MEGL1681 (07-16) Exclusion – Residential Construction w/possible exceptions: x No Exceptions

MEGL 1849 (08-14) Contractual Risk Deductible Liability: $10,000 w/Risk Transfer | $50,000 w/out Risk Transfer | $10,000 All Other
MEGL 1884 (10-15) Amended Limits of Insurance
MEGL 2202 (01-17) Advantage Extension for Specific Project
MEGL 5300 (05-16) Organic Pathogen and Legionellae Exclusions
MEGL 5301 (05-16) Subsidence Exclusion
MEGL 5302 (05-16) Asbestos Exclusion
MEGL 5303 (05-16) Lead Exclusion
MEIL 1309 (11-13) Non-Stacking of Limits of Insurance
MEGL 0026 (05-16) Exclusion – Breach of Contract

Wrap-Up (OCIP/CCIP)

Code: 91582-91585 (select appropriate)

91582- Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **Apartment or office buildings** over four stories

91583 – Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **One or two family dwellings**

91584 – Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **For industrial use**

91585 - Contractors – Subcontracted work – in connection with building construction, reconstruction, repair or erection – **Not otherwise classified**

Class Specific:
Insured's Role - Wrap Up
Project Name - Name of Project
Project Location - Address of Location
Project State - Must match state in location address
Project Description - Describe the project in general (i.e. construction of a 140 unit hotel in Atlantic City, NJ)

Unit Type Grid
Add the number of units, stories of structure, construction type, and any additional notes that may be specific to the unit (i.e. a parking deck of an apartment building may be constructed of concrete block, whereas the structure of the building that contains the actual apartments may be wood frame). In this section you should distinguish between the construction types.

Surrounding Exposures
For the project itself you will need to be able to find where the project is located. There are 3 options for this tab. If the project specific supplemental does not offer this information you can always do a google search of the address to see if you are able to get a picture of the location to distinguish if it is an urban, suburban/light commercial, or rural location

Geotechnical Report
Under this tab you have 5 options from which to choose. You may select whether there is no report, personally reviewed - good, or personally reviewed- concerns. After reading through a report you may select one of these three options based on what you find in the report. Because geotech reports are usually lengthy, search the report for the conclusive summary of findings that show recommendations for the construction process. There are 2 remaining options, LC reviewed- good, and LC reviewed- concerns. These selections are for our loss control department to use for inspection purposes.

Does the product include demolition work?
For this tab there are 3 options. This information should be found on the supplemental application. If you are unable to find any information regarding demolition you should then select the "unknown" option.

Named insured building to own or sell?
For this tab you have to select whether the building (or project) will be owned by the insured, will be sold, or whether it is unknown. For Wrap Up policies everyone on the project is being covered, so select "own"

Name of Contractor - Fill in the name of the contractor on the project. Information should be found on the supplemental application

GC Liability Limits - Information will be found in the general contractor section of the application

GC Experience on this type of work - This information will be found in the general contractor section of the application

ECO Provided?
Extended Products Completed Operations. If this document is included in the submission then select "Yes" if not select "No." Occasionally the supplemental application will indicate whether or not this is included. This is form normally provided.

Deductible: Minimum of $25,000

Loss Information: Include any loss information provided.

General Liability Limits: General Aggregate - $2,000,000
Products Aggregate - $2,000,000
Each Occurrence Limit - $1,000,000
Personal/Advertising Limit - $1,000,000
Damage to Rented Limit - $100,000
Med Expense Limit - Excluded

General Liability Classification and Premium: Class Code: 91582-91585
Rating Basis- Total Cost per 1,000

MEP: 100%

Policy Fee: $1,000 (Underwriters discretion)

Notes: Most concerned about completed ops. Asks questions like: What's the quality control like? What's the GC loss experience? Has the GC had a lot of CD claims?

Hazard Analysis:
Premises Operations – For a building contractor, at the job site, they are ultimately responsible for the job site, all injuries or property damage that results from construction operations, including those that are due to the acts or omissions of subcontractors. Lack of adequate communication between the different subcontractors can cause hazardous working conditions especially if blasting or similar hazardous operations taking place. Heavy machinery used for excavation may cut power lines, disrupting service to other homes or businesses in the vicinity. Welding presents potential for burns or setting the property of others on fire if not conducted safely. The contractor's employees can cause damage to the client's other property or bodily injury to members of the general public or employees of other contractors. Tools, power cords, and scrap all pose trip hazards even when not in use. If there is work at heights, falling tools or supplies may cause damage and injury if dropped from ladders, scaffolding, or cranes. Failure to protect equipment, building materials and property of others left at job sites from theft and vandalism may result in a subrogated loss. Some sites may present significant attractive nuisance hazards as well. All hazards are increased in the absence of properly enforced procedures to control access to the jobsite. For an owner – exposure is relatively low, mostly comes from vicarious liability put on them by the general contractor. The policy relies on general contractor contracts with subcontractors in order to protect themselves from mistakes by the general contractor or subcontractor. Their main risk comes from how involved the owner plans to be on the physical construction site. If an owner gives the "go-ahead" for a crane to move a beam and the beam falls and injures someone, that kind of liability could fall to the owner.

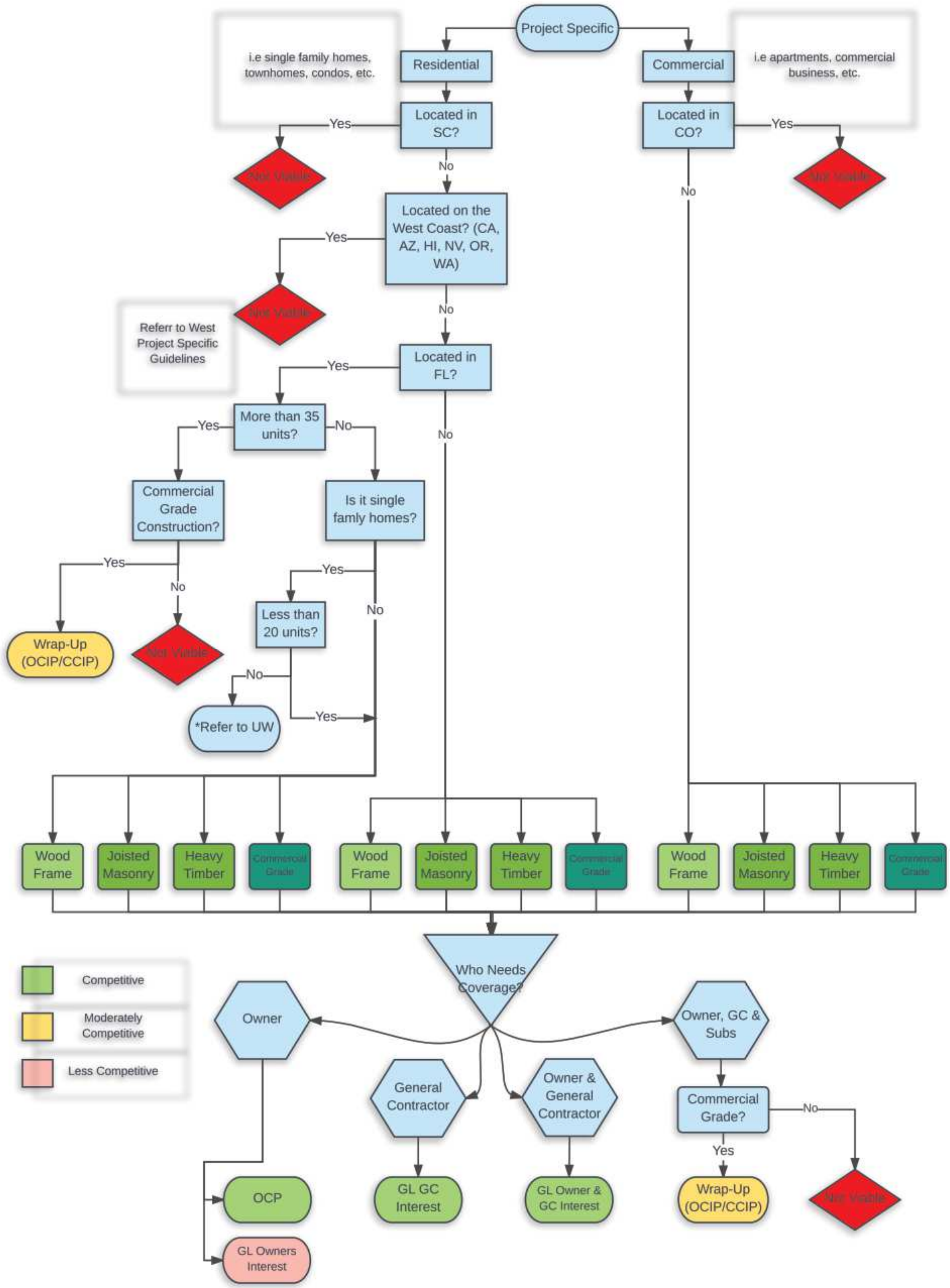
Completed Operations – The designer and engineer of the project, the quality of materials, and the construction details are all critical. Failure of the insured to maintain quality control and full compliance with all construction, material, and design specifications may give rise to serious loss. *This exposure is higher for wrap policies because if there is a dispute over construction defect claims, there is no subcontractor to subrogate to*.

Wrap Up Forms List: (shaded areas include fill in required)

MDIL 1000 (08-11) Common Policy Declarations
MDIL 1001 (08-11) Forms Schedule
MJIL 1000 (08-10) Policy Jacket
MPIL 1007 (03-14) Privacy Notice
IL 0017 (11-98) Common policy Conditions
IL 0021 (09-08) Nuclear Energy Liability Exclusion
MEIL 1200 (01-10) Service of Suit (All States except CA)
MEIL 1231 (10-13) Minimum Earned Premium and Minimum Retained Premium – 100%/100%
MEIL 1225 (10-11) Changes – Civil Union
MDGL 1008 (08-11) Commercial General Liability Coverage Pare Declarations
CG 0001 (04-13) Commercial General Liability Coverage Form
CG 2001 (04-13) Primary and Noncontributory – Other Insurance Conditions
CG 2010 (04-13) Additional Insured – Owners, Lessees, or Contractors – As required by written Contract executed by both parties prior to loss
CG 2018 (04-13) Additional Insured – Mortgagee, Assignee or Receiver – As required by written Contract executed by both parties prior to loss
CG 2037 (04-13) Additional Insured – Owners, Lessees or Contractors – Completed Operations – As required by written Contract executed by both parties prior to loss
CG 2109 (06-15) Exclusion – Unmanned Aircraft
CG 2135 (10-01) Medical Payments Coverage C Exclusion
CG 2136 (03-05) Exclusion – New Entities
CG 2144 (07-98) Limitation of Coverage to Designated premises or Project – Project: Construction of xxxxx; located at project address *(ex. "Construction of 20-unit condominium building located at 123 street, city, st 12345)*
CG 2147 (12-07) Employment Related Practices Exclusion
CG 2155 (09-99) Total Pollution Exclusion with Hostile Fire Exception
CG 2186 (12-04) Exclusion – Exterior Insulation and Finish Systems
CG 2196 (03-05) Silica or Silica Related Dust Exclusion
CG 2243 (04-13) Exclusion – Engineers, Architects or Surveyors Professional Liability

CG 2279 (04-13) Exclusion – Contractors – Professional Liability
ME 037 (04-99) Composite Rate Endorsement - $X.XX per $1,000 of Total Cost
MEGL 0008 (01-16) Exclusion – Continuous or Progressive Injury or Damage
MEGL 0048 (03-13) Deductible Endorsement - $25,000
MEGL 0170 (05-16) Premium Basis Endorsement
MEGL 0241-01 (05-16) Blanket Waiver of Subrogation
MEGL 1251 (05-16) Defense Cost As Part Of And Not In Addition to Limit of Insurance
MEGL 1349 (01-16) Exclusion – Common Interest Dwelling or Residence Conversions
MEGL 1361 (05-16) Tainted Drywall Exclusion
MEGL1681 (07-16) Exclusion – Residential Construction w/possible exceptions: x No Exceptions
MEGL 1884 (10-15) Amended Limits of Insurance
MEGL 5300 (05-16) Organic Pathogen and Legionellae Exclusions
MEGL 5302 (05-16) Asbestos Exclusion
MEGL 5303 (05-16) Lead Exclusion
CG 2301 (12-04) Exclusion – Real Estate Agents or Brokers Errors or Omissions
IL 1201 (11-85) Named Insured v Named Insured Exclusion with Exception for Suits Brought by “Owner” – TBD at Binding
MEGL 1887 (10-15) Repair Work – Extension Period (Wrap Up)

<u>Project Specific Flow Chart</u>



Product Liability Occurrence Triage Guide

Table of Contents:

Product Liability (Occurrence) Guidelines:

APPETITE:

- The Brokerage Product Liability appetite is intended to compliment the Markel Claims-Made Product Line.
- We can consider high hazard products as long as the exposure is defined and measurable and the risk vs reward is adequate.
- We will consider manufacturers, distributors, importers, exporters and repacking.
- Risks that are single or related product focused are preferred.
- Non-consumer products are more desirable than consumer products.
- Coverage for discontinued products, products recall (with a sublimit) and worldwide coverage depending on the territory can be offered.
- High hazard but low exposure base products can be written but are less desirable.
- Risks producing high loss frequency and risks with history of recalls or class action suits should be underwritten cautiously and generally be avoided.

PROHIBITED CLASSES:

A number of classes will be prohibited on an occurrence form – while remaining an acceptable risk when written on a claims-made form. Refer to the product liability spreadsheet to aid in determining which approach we should take in underwriting a products risk.

- Aircraft products and grounding (critical)
- Ammunition
- Asbestos (manufacturing or removal can be referred to Environmental Product Line)
- Automotive parts (critical – Steering, Stopping and Safety) (refer to Claims-Made Product Line)
- Biotech products (e.g. genetically altered food products)
- Cellular phones
- Chemicals (refer to Claims Made Products Line) Household non-carcinogenic products OK
- Dietary Supplements, Nutraceuticals and Pharmaceuticals (refer to Claims-Made Product Line)
- All building material manufacturers / distributors – including but not limited to Door, Window, Truss Manufacturers
- EIFS or related
- Firearms or critical components for firearms
- Helmets and headgear, including, but not limited to motorcycle and sports helmets
- Invasive medical products (those that stay in the body > 30 days e.g. pacemaker, artificial hip)
- Latex Gloves
- Landfill liners and flue scrubbers (refer to Environmental Product Line)
- Motorcycles, ATV and other recreational vehicles (this does not include trailers) (refer to Claims-Made Product Line)
- Silicone implants
- Space heaters
- High hazard sporting goods products – such as tree stands (deer stands) and trampolines
- Tire manufacturers, distributors, retreaders
- Tobacco products
- Welding Rods / Welding Equipment
- Traffic Barricade / Sign Sales and Rental

Air Conditioning Equipment Manufacturing– ISO Code 51116

A B C Score: A

Premium Base: Gross Sales

Description of Operations: Commercial air conditioning manufacturers produce cooling systems for use in hospitals and other institutions, offices, retail stores, warehouses, and other non-residential establishments. The product's casing, housing, or cabinet can be constructed of plastic, wood or metal. The interior contains machinery and the electrical wiring or electronic circuitry. Other parts may be of metal, glass, rubber, or plastic. The different phases of manufacture may be carried out in different locations or different countries. Separate divisions or independent firms (subcontractors) may handle a single aspect of the process, such as producing circuit boards, making peripherals and accessories, or filling ("charging") refrigeration coils. Some manufacturers may subcontract the separate operations and simply perform the final assembly.
An air conditioning unit is a closed metal piping system filled with refrigerant, comprised of hot coils ("condenser coils") on the outside of the building to dissipate heat and chilled coils on the inside, called "evaporator coils." The two sets of coils are linked by a compressor and an expansion valve. Air movement is facilitated by fans driven by an electric motor. The level of cooling is determined by an electronic control unit or thermostat. Since commercial units may be called upon to control the cooling and ventilation of very large public buildings and high-rises, the manufacture of commercial air conditioning units often involves heavy lifting, industrial cranes, and customization to meet customers' specific needs

Hazard Grade: 4

Notes:

- $6-$8 rate
- This classification includes duct work and piping.
- The manufacturing of the following shall be separately classified and rated:
  - Heating systems
  - Combined heating and air conditioning systems
  - Refrigerating systems

Appliances and Accessories Manufacturing - commercial – gas– ISO Code 51220
A B C Score: A

Premium Base: Gross Sales

Description of Operations: These classifications apply to risks engaged in the manufacturing of many kinds of commercial appliance which uses natural gas such as stoves, hot water heaters, gas dryers and bake ovens, or any accessories for such appliances. Much of the work resembles that of a sheet metal shop and much the same materials and equipment are used, at least insofar as sheet metal shell of the appliances are concerned. Cast iron stoves are assembled from parts received from a foundry. These parts are chipped and ground to make smooth matting surfaces and the parts are assembled either by welding or bolting. Enamels are sprayed on and baked. Mechanical parts and electric motor, if any, are then installed. Gas and kerosene stoves are tested functionally and electric controls for gas stoves are tested. Appliances are then packed for shipment.

Hazard Grade: 7

Notes:
- $12-$15 rate
- Manufacturing of all heating equipment shall be separately classified and rated.

Clothing Manufacturing– ISO Code 51896

A B C Score: A

Premium Base: Gross Sales

Description of Operations: Textile manufacturing -- not otherwise classified -- includes miscellaneous operations from weaving to finishing fibers, either natural or synthetic, or any combination of processes. As the processes may be varied, each should be individually reviewed

This classification applies to risks engaged in the manufacturing of clothing. Basic operations for this type of insureds are cutting, stitching, and pressing of bulk materials used in the completed garment. This includes the use of electric cutters, electric sewing machines, steam irons and steam pressers.

Products include: Ladies', men's and children's wearing apparel such as suits, coats, dresses, blouses, riding habits coats, breeches and blouses only - not accessories, vests, trousers, skirts, underwear, pajamas, bath or lounge robes, negligees, aprons, smocks, neckties, handkerchiefs, scarfs, ladies' neckwear, men's or children's cloth caps, suspenders, garters, wearing apparel made from rubber sheeting or rubberized materials, barbers', waiters', butchers' and street cleaners' uniforms, overalls, children's play garments.

Hazard Grade: 2

Electrical Parts, Components or Accessories Manufacturing - NOC– ISO Code 52438
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification contemplates the manufacture of electrical parts, components and accessories. The operation and equipment used are very similar to a machine shop with lathes, drill presses, grinders, etc. This classification includes the manufacture of electric meter boxes, meter mountings and sockets, and all electrical parts, such as plugs and switches, which are manufactured and/or assembled into other products or sold as replacement parts.

Hazard Grade: 5

Notes:
- Electronic components shall be separately classified and rated

Electronic Components Manufacturing– ISO Code 52469
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification applies to risks engaged in the manufacturing of electronic components including, but not limited to, resistors, condensers, transistors, microchips, and printed circuits which are commonly found in video, audio, communication or data processing equipment and many other sophisticated products, such as aircraft and automobiles, or machinery or equipment for automation or control purposes.

Hazard Grade: 4

Notes:

- This classification includes the manufacturing of resistors, condensers, inductors or chokes, diodes, transistors, microchips, thermistors, printed circuits and potent meters.
- Electrical parts or accessories manufacturing shall be separately classified and rated.

Food Products Manufacturing - dry– ISO Code 53374

A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification does not contemplate the following manufacturing or processing operations of: baby food, dairy products, fruit or vegetable juice and meat, fish, seafood or poultry processing. The important thing here is whether or not the food is packaged frozen or dry. Those food products package in liquid are divided between glass and not glass. An example of this type of food product would be the manufacturing of crackers. Flour is sifted, mixed within ingredients, sometimes kneaded, molded or broken, then rolled, sheeted, mechanically cut and, in the majority of cases, stamped with a design and baked.

In contrast to a bakery, this operation is generally larger with much more mechanical equipment and more packaging by hand. The completed product is wrapped in wax paper and packed in boxes and cartons. This group includes all edible food products that are packaged dry and normally do not require refrigeration to keep them fresh.

Hazard Grade: 4-9

Notes:

- This classification does not apply to meat, fish, seafood or poultry processing.
- Avoid distribution of shellfish.

Food Products Manufacturing - not dry - in other than glass containers– ISO Code 53377
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification does not contemplate the following manufacturing or processing operations of: baby food, dairy products, fruit or vegetable juice and meat, fish, seafood or poultry processing. The important thing here is whether or not the food is packaged frozen or dry. Those food products package in liquid are divided between glass and not glass.

This classification applies to all food products packaged in other than glass containers. The process may include washing, cleaning, and cooking the items for packaging of the food product. These food products are then stored in warehouses or refrigerated warehouses until shipment to distributors or wholesale grocery stores. This group includes all edible food products in other than glass containers such as: canned food, food in aluminum pouch or plastic containers.

Hazard Grade: 5-9

Notes:
- This classification does not apply to meat, fish, seafood or poultry processing.
- Avoid distribution of shellfish.

Instrument Manufacturing - analytical, calibrating, measuring, testing or recording– ISO Code 55647
A B C Score: A

Premium Base: Gross Sales

Description of Operations: The Product Liability and Completed Operations exposure for portable scientific instrument manufacturers will be moderate due to the potential of several factors that can compromise the quality and effectiveness of a scientific instrument. Poorly designed instruments or parts, manufacturing process defects, defective components, improper or incompetent assembly of instruments, and/or the failure of the insured's quality control personnel to detect defective instruments or finished products may each contribute to a possible loss.

This exposure will vary from one insured to another depending on the type of scientific instruments produced, and whether the insured manufactures the product or only assembles components produced elsewhere. This exposure may be somewhat reduced if the insured is responsible for assembly only and not manufacturing items from raw materials and components.

Hazard Grade: 5

Hazard Analysis:
- General Liability: Premises and Operations: 4 - Medium
- Product Liability and Completed Operations: 5 – Medium – Depends on the end use of product. Potential health and safety risks to user and the general public if instruments are defective or give faulty readings.

Notes:
- $10-$30 rate

Machinery or Machinery Parts Manufacturing - metalworking– ISO Code 56653
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification contemplates the manufacturing of machinery that is typically found in metalworking shops. This code also contemplates the manufacturing of parts and replacement parts for metalworking machines.

Examples of metalworking machinery include, but are not limited to lathes, milling machines, grinders, polishers and planers.

The machinery may be manually operated or CNC machinery. The manufacturing process may involve a foundry, the machining and grinding of castings, forming and welding of sheet metal and/or heavy gauge metal, cutting of dimension of lumber and assembling, welding, riveting and finishing operations including spray painting of the metalworking machinery.

This classification contemplates the installation, servicing and repair of the machinery manufactured by the risk. The installation, repair and servicing of machinery not manufactured by the risk is separately classified and rated.

This code does not contemplate the manufacturing of machinery or machinery parts for construction, mining or material handling applications. Such operations are assigned to code 56650. This classification does not contemplate the manufacturing of machinery or machinery parts designed for use on farms. Such operations are assigned to code 56651.

This code does not contemplate the manufacturing of machinery or machinery parts designed for use in industrial plants. Such operations are assigned to code 56652.

Hazard Grade: 5

Notes:

- $20-$30 rate
- The manufacturing of machinery or machinery parts that do not fall within any of the specific classifications (farm, industrial, metalworking, construction, mining, material handling) will be assigned to code 56654.

Machinery or Machinery Parts Mfg. - industrial type– ISO Code 56652

A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification applies to risks engaged in the manufacturing of industrial machinery. It also contemplates the manufacturing of parts and replacement parts for these types of equipment.

Examples of machinery contemplated by code 56652 include, but are not limited to plows, assembly line machinery, injection molding machines, vacuum forming machines, stamping machines, electroplating machines, molding machines, coating machines and all types of textile machines.

The manufacture of machinery of this sort includes a great variety of operations. Castings are turned, faced, ground, tapped, shaped and machined by milling machines, burring mills, turret lathes, internal grinders and other metal working machinery. Structural steel may be cut with acetylene torches and sheet metal with shears; stock is punched, formed on rolls, drawn, and then welded together by electric and acetylene welding processes. Frequently, parts are fabricated and stockpiled for future use. The final assembly then takes place which will include any finishing operations such as painting the machinery.

This classification contemplates the installation, servicing and repair of the machinery manufactured by the risk. The installation, repair and servicing of machinery not manufactured by the risk is separately classified and rated.

This code does not contemplate the manufacturing of machinery or machinery parts designed for use with construction or mining operations. Such operations are assigned to code 56650.

This code does not contemplate the manufacturing of machinery or machinery parts designed for use by farms. Such operations are assigned to code 56651.

This classification does not contemplate the manufacturing of machinery or machinery parts designed for use in metalworking shops. Such operations are assigned to code 56653.

Hazard Grade: 8

Notes:

- $10-$30 rate
- The manufacturing of machinery or machinery parts that do not fall within any of the specific classifications (farm, industrial, metalworking, construction, mining, material handling) will be assigned to code 56654.

Medical, Dental, Hospital or Surgical Equipment or Supplies Manufacturing - expendable– ISO Code 56805
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification includes items such as adhesive tape, absorbent cotton, bandages or dressings, sponges, swabs, tongue depressors, ligatures and sutures, hypodermic needles, specimen containers, rubber gloves, plastic and rubber sheeting or tubing, splints and elastic stockings and supporters.

This classification covers various types of surgical or pharmaceutical items. These items are not reusable and include those listed in the footnote. Material used for these items include cotton, rubber, glass, wood, leather and light metals.

Hazard Grade: 8

Metal Works - shop - decorative or artistic– ISO Code 59914
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification applies to the manufacturing, fabricating or assembling of decorative or artistic brass, bronze or iron work.

This classification applies to risks whose predominate operations is metal work to be installed or erected by others.

This classification includes incidental installation or erection.

This classification applies to risks that are in business to manufacture, fabricate, and/or assemble decorative or artistic metal work. Decorative or artistic metal work are those pieces that only serve a decorative function or is the end product of an artist working with metals. On the other hand, ornament iron work produces decorative metal products that serve a useful purpose such as railings and balconies; however, such operations are assigned to code 56916. The primary operation of these risks is to fabricate the decorative or artistic pieces for other risks to erect. However, risks assigned to code 59914 may offer an installation service to their clients.

Risks that are primarily in business to install or erect decorative or artistic metal works and also operate a shop will have both operations assigned to code 97650. The notes to codes 59914 and 97650 differ from the notes to the other metal works and metal erection classifications regarding the relationship between the two operations. The assignment of the decorative or artistic classifications relies on the principal operation of the risk while the other metal classifications notes state to separately classify the shop operations from the erection operations.

Code 59914 contemplates the use of ferrous and nonferrous metal but does not include sheet metal.

Code 59914 does not contemplate the fabrication of structural steel; such fabrication work is assigned to code 56915 or code 56916.

Hazard Grade: 5

Notes:
- $20-$30 rate

Metal Works - shop - structural - load bearing– ISO Code 56915
A B C Score: A

Premium Base: Gross Sales

Description of Operations:

This classification is applied to insureds that primarily fabricate or assemble load bearing structural iron or steel. The materials under this code include load bearing structural iron or steel pieces such as bars, "I" beams, studs, channels, angles, tees, columns, plates and roof trusses; they will be subsequently used in the construction of buildings, bridges, heavy machinery platforms and structural ship plates. Further, insureds in this classification may undertake steel bar joist and truss assembling, steel open web joist fabrication, steel frame fabrication for bridges, etc. as long as the steel work is designed to be a load bearing member of the structure.

The fabricating operations normally involve layout of the pieces, machining, cutting, sawing, bending, drilling, punching, riveting, bolting, welding and assemblage into the finished structural steel piece. The shop equipment generally used includes heavy metal power saws, power shears, plate shears, heavy-duty punch presses, drill presses, plate rolls and welding equipment.

Not all structural metal fabrication will be assigned to code 56915, on those pieces that are designed to carry the weight or force of the structure are assigned to code 56915. The fabrication of structural metal pieces that do not qualify as load bearing will be assigned to code 56916. Such items not assigned to code 56915 include, but are not limited to balconies, fire escapes, permanent grandstands, and loading platforms.

Code 56915 does not contemplate the erection of load bearing structural metal; such operations will be separately classified to code 97655.

Code 56915 does not contemplate the fabrication of steel statues, cornices, or artwork no matter how large. Such fabrication work is assigned to code 59914.

Code 56915 is assigned to the manufacturing and processing classifications. These classifications are assigned by final product; therefore, a risk fabricating load bearing and non-load bearing steel is assigned to multiple classifications as long as the risk maintains appropriate records.

For the purpose of this classification, "load bearing" means structural metal work designed to support weight.

Installation and erection shall be separately classified and rated.

Hazard Grade: 7

Notes:
- $10-$30 rate

<u>Plastic or Rubber Goods Manufacturing - household</u>– ISO Code 58057
A B C Score: A

<u>Premium Base</u>: Gross Sales

<u>Description of Operations</u>:

This classification applies to the manufacturing of plastic or rubber goods by process such as machining, bending, fabricated products, injection or compression molded products.

The custom fabricator usually works on a contract basis performing different fabricating and finishing operations for processors or manufacturers under whose label the product will be sold. Secondary end products in the form of plastic sheets, rods, tubes or molded shapes generally are received from the plastics processor, and, depending on the product's end use (consumer or industrial) are machined, finished and assembled utilizing a variety of techniques and processes, some which may have been specially developed for that particular product.

Manual and/or automated machining operations can include filing, drilling and reaming, milling and lathe turning, sawing, polishing, trimming and tumbling. The equipment and methods used are similar to those found in a typical machine shop. Plastic sheets and film may be cut and sewn, and thermo-formed.

Plastic parts are often electroplated for decorative purposes as well as to increase their strength and durability. Plastics are first put through a series of preplating baths where they are chemically treated with sensitizers and activators: etchants to remove the surface layer and condition the surface for better adhesion; expose sites for subsequent metal deposition. The next step involves electroplating, in which a thin metallic layer is deposited by chemical reduction. This makes the plastic surface electrically conductive and receptive to standard electroplating processes.

Fabricated parts can be assembled manually or with equipment which typically generates heat and pressure to bond the plastic surfaces together permanently. Among the processes most commonly employed are mechanical fastening, thermal high-frequency and ultrasonic sealing, and adhesive and electromagnetic bonding. Additional substances such as adhesive or heat-generating powders may be used.

Various materials, including metal parts machined on premises or elsewhere, may be added during assembled Products are inspected for defects at various stages in the production process, packed in shipping containers and either picked up by the processor or shipped via common carrier or parcel post to their destination.

<u>Hazard Grade:</u> 6

<u>Notes</u>:

- $10-$30 rate range

<u>Plastic or Rubber Goods Manufacturing - other than household - NOC</u>– ISO Code 58058
A B C Score: A

<u>Premium Base</u>: Gross Sales

<u>Description of Operations</u>: This classification applies to the manufacturing of plastic or rubber goods by process such as machining, bending, fabricated products, injection or compression molded products.

The custom fabricator usually works on a contract basis performing different fabricating and finishing operations for processors or manufacturers under whose label the product will be sold. Secondary end products in the form of plastic sheets, rods, tubes or molded shapes generally are received from the plastics processor, and, depending on the product's end use (consumer or industrial) are machined, finished and assemble utilizing a variety of techniques and processes, some which may have been specially developed for that particular product.

Manual and/or automated machining operations can include filing, drilling and reaming, milling and lathe turning, sawing, polishing, trimming and tumbling. The equipment and methods used are similar to those found in a typical machine shop. Plastic sheets and film may be cut and sewn, and thermo-formed.

Plastic parts, such as housings for business machines, often are electroplated for decorative purposes as well as to increase their strength and durability. Plastics are first put through a series of preplating baths where they are chemically treated with sensitizers and activators: etchants to remove the surface layer and condition the surface for better adhesion; expose sites for subsequent metal deposition. The next step involves electroplating, in which a thin metallic layer is deposited by chemical reduction. This makes the plastic surface electrically conductive and receptive to standard electroplating processes.

Fabricated parts can be assembled manually or with equipment which typically generates heat and pressure to bond the plastic surfaces together permanently. Among the processes most commonly employed are mechanical fastening, thermal high-frequency and ultrasonic sealing, and adhesive and electromagnetic bonding. Additional substances such as adhesive or heat-generating powders may be used.

Various materials, including metal parts machined on premises or elsewhere, may be added during assembly. Products are inspected for defects at various stages in the production process, packed in shipping containers and either picked up by the processor or shipped via common carrier or parcel post to their destination.

<u>Hazard Grade:</u> 3-5

<u>Sheet Metal Work - shop only</u>– ISO Code 58922
A B C Score: A

<u>Premium Base</u>: Gross Sales

<u>Description of Operations</u>: This classification contemplates the manufacture of sheet metal products to order. The process may involve shearing, bending, soldering, riveting, punching, drilling and incidental welding. This classification is not applicable to any installation or erection work which must be separately classified.

<u>Hazard Grade:</u> 5

<u>Notes</u>:
- This classification does not apply to risks which do outside sheet metal work.
- Rate separately roofing, gutters, or duct work in connection with installation

Textile Products Manufacturing - fabricated– ISO Code 59725
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification applies to the manufacturing of fabrics used in sewing, embroidery manufactured finished goods, braid or fringe mfg., trimmings or ribbons, lace, home furnishing material, etc.

Hazard Grade: 4

Tool Manufacturing - hand type - not powered– ISO Code 59782
A B C Score: A

Premium Base: Gross Sales

Description of Operations: The usual operation in this class is the manufacture of hand tools, such as shovels, picks, rakes, axes, hoes, hammers, levels, screw drivers, chisels, wrenches etc. The operation will usually be that of forging with an occasional foundry exposure. Also includes the manufacturing of wooden handles, incidental to the tool manufactured.

Hazard Grade: 5

Notes:
- $5-$10 rate
- This classification includes forging, trimming and machining.

Tool Manufacturing - hand type - powered– ISO Code 59783
A B C Score: A

Premium Base: Gross Sales

Description of Operations: The usual operation in this class is the manufacture of powered hand tools, such as power drills, routers, jigsaws, skill saws, lawn mower, weed trimmer etc. The operation will usually be that of forging with an occasional foundry exposure. Also includes the manufacturing of wooden handles, incidental to the tool manufactured.

Hazard Grade: 6

Notes:
- This classification includes forging, trimming and machining.

Tool Manufacturing - power equipment - household type - outdoor or workshop–
ISO Code 59784
A B C Score: A

Premium Base: Gross Sales

Description of Operations: This classification includes the manufacturing of power equipment designed for use in connection with light work in and around the home. Type of equipment includes power table saws, drill press

Hazard Grade: 6

Notes:
- This classification includes forging, trimming and machining.
- Power Tool manufacturing not household type or hand type shall be separately classified and rated as "Machinery or Machinery Parts Mfg."

Claims Made Products Triage Guide

Table of Contents:

Definitions

- The claims-made coverage form covers bodily injury or property damage claims resulting from the insured's products that occur after the retroactive date stated in the policy but only if claim for injury or damage is reported during the policy period (or the extended reported period, if applicable).
- Commercial General Liability (CGL) policies protect owners and operators of businesses from legal liability exposures. There are two main exposures (1) premises and operations and (2) products and completed operations.
    - Premises liability arises out of injury or damage caused by conditions that exist at the insured's premises.
    - The operations exposure arises out of injury or damage cause directly by the insured's business operation while operations are taking place.

Three types of hazards associated with Product Liability:

- Manufacturing defect
- Design Defect
- A failure to warn

<u>Appetite</u>

- Our Claims Made has historically been one of our most profitable segments-and as such, we should continue to aggressively target this business. Coupled with our occurrence product-we are able to offer a complete solution to our customer's product needs.
- Target Risks have sales from $100,000-$100,000,000
- Target Risks include small, new emerging companies with high rate.
- Start-Ups – Often time a risk is a start-up with sales below $100,000. Utilize the start-up initiative, the claims-made form, and proper underwriting discretion to offer terms for accounts under $100,000 in sales
    - Often times, rate is high, there isn't much exposure in the marketplace, and there is a chance it'll grow

<u>Products/Completed Operation</u>

- The "completed operations hazard" includes all bodily injury and property damage resulting from actual or alleged defects from completed work where injury or damage occurs away from premises owned or controlled by the insured. This definition includes three parts to determine if work has been completed. 1) The work at the point at which operations was to be performed has been completed. 2) All operations to be performed by or on behalf of the insured have been completed. 3) When the portion of work out of which the loss arises has been put to its intended use.

Coverages

- Product Liability Completed Operations only (EIC 701 Form)
- GL combined with Product Liability Completed Operations (PD-22000 Form)
- Excess Product Liability only or with GL
  - o Follow-Form Excess – We prefer to be in the lead layer (where premium dollars are highest, though we have capabilities high into towers -- refer to PLL's
- GL Optional: HNOA (Incidental driving only; occasional errands; not meant for mfg rep) - ***exercise caution/need HNOA App before offering***
- Optional: Recall Expense Coverage
  - o Premium Guidelines: $1,000 MP at limits of $1mm/$2mm or 15-25% of the products premium – whichever is higher
  - o For policies within limits of $1mm/$2mm: up to $250k/$250k sublimit is available (subject to policy deductible)
  - o For policies with limits of $2mm/$2mm and greater: up to $500k/$500k sublimit is available (subject to policy deductible)
- GL Optional Med Pay $5,000/$25,000 Agg
  - o Only available with PD-22000 Form because it's a GL only coverage

Target Classes

- Specialize in hard to place product liability accounts
- Ingestible: Food, herbals, nutraceuticals
- Rx/Prescription drugs; Pharmaceuticals; Over the counter drugs
- Chemicals (OCC may offer terms on chemicals, depends on exposures & latency issues)
- Medical equipment and machinery instruments and supplies;
- Medical implants
- CRITICAL Auto parts, machinery equipment & supplies (Critical: anything that drives, steers and brakes the auto, etc)
- Toys, infant care items, sporting goods (no Tree stands or related safety products; No inflatables)
- Metals & raw materials (OCC may offer terms depends on exposures and latency issues

Excluded Classes – New and Renewal

- Accounts not physically located in the US
- Accounts presently insured by a Markel company
- Stand-alone products recall or product warranty
- Stand-alone E&O
- Bulk Caffeine
- Crum rubber and or artificial turf products
- Pharmaceutical accounts with revenues of $100,000,000 or more
- Helmets: football, hockey, boxing, equestrian, lacrosse and snow sport helmet manufacturer, distributor or re-conditioners
- Skull Caps for use with helmets and mouth guards for use in avoiding concussions
- NOTE: Bicycle and Motorcycle helmets are marginal accounts and should be written with care. We should only look to write high end products that retail for more than average in their respective markets.
- E-cigarettes or other tobacco related products

- Bulk suppliers of products on our dangerous ingredients list
- Tree-Stands / Climbing Sticks (and related hunting products)
- Firearms and Ammunition (does not apply to non-critical firearm components)

Rating Guidelines

Class specific minimum premiums are pre-loaded into Profit and should be adhered to. The minimum premium has been lowered on desired classes to encourage the growth of those segments.

The minimum premium on the **DRUGS: Nutraceuticals, Herbal Remedies, Vitamins, and Over-the-Counter Drugs to $2,300**. This minimum premium ONLY applies to the best in segment risks. Risks that have any exception to the dangerous ingredients endorsement, risks where defense is outside the limit, risks with limits greater than $1m/2m, and or risks with exposure to weight loss, body building, or sexual enhancement should all adhere to a minimum premium of **$3,500.**

Underwrite each risk to its merits. You do NOT need to quote the segment minimum just because it is there. Pricing should adequately reflect the risk and if characteristics on a risk are more hazardous, then your pricing should be higher. Profit should be utilized to price accounts.

Defense can be offered inside the limit or outside the limit (If written outside, the max policy limit is $2 million)

Prior Acts Factors

- One of the difficulties with writing products is that the current sales volume is not a particularly good exposure base. Since we are covering occurrences (e.g. injuries) rather than errors, our exposure is created by all of the products currently in existence. The retroactive date protects us from delays in reporting injuries but not for previously manufactured products. Our revised prior acts factors recognize this fact providing lower discounts for retro inception business on established products. Startup operations (manufacturing products for three years or less) have few products in the marketplace and thus deserve a discount beyond that caused by the delay in reporting injuries. This is accounted for by using a different set of prior acts factors.

Rating/Exposure Base

- The base rates contemplate a $500,000 limit. The usual exposure base is gross sales/receipts and is normally auditable. For startup operations use the estimated first year sales and the appropriate prior acts factor. Do not discount the rate as the sales increase, we have a tiered rating system which adjusts for either higher or lower sales. Do not let a large decrease in sales overly affect your premium since most of your exposure is from products manufactured in prior years. Use estimated sales from past five years to reflect the current sales exposure

Enhancements

Product Recall Expense

- This coverage can only be written as a companion to the claims made products policy. This can be the EIC701 or PD22000 endorsement. This coverage is available to manufacturing companies and distributors.
- The following classes are excluded from eligibility:
  - Aviation
  - Marine
  - Structural Building Products
  - Utilities
  - Environmental Product
  - Medical Implants

Vendors Coverage

We offer this coverage routinely to anyone who needs vendor insured under their Products Liability policy. Note that a contractor that installs our insured's product is NOT a vendor. A supplier that furnishes a part or ingredient used by our insured is NOT a vendor. **Do not add, as an additional insured, an entity that uses our insured's product as an ingredient or part in their finished product.** A supplier that furnishes a part or ingredient used by our insured is not a vendor. **Do not add suppliers as Additional Insureds under any circumstances or at any cost.** We also do not add customers as additional insureds.

It is often very important to know or find out who a requested Additional Insured is, and in what manner they relate to the insured.

EIC 4356 is a "limited" form vendors coverage. It does not automatically make the vendor an Additional Insured as to injury or damage sustained on the vendor's premises. Such hazard is sometimes referred to as the "demo" hazard, although with our book of products business, its more often akin to malpractice, assembly & display, etc. **EIC 4356 should be used where our insured's products are sold to doctors, hospitals or clinics.** EIC 4355 is the "broad form" vendors coverage. It does make the vendor an Additional Insured as to injury or damage sustained on the vendor's premises.

<u>PREMIER NUTRA ENDORSEMENT – Should be used on nutra accounts to be competitive in the marketplace</u>

This endorsement modifies insurance provided under the following:
General Liability (Including Products and Completed Operations Liability) Insurance Policy

TABLE OF CONTENTS:

For complete details on specific coverages, refer to the appropriate provisions in this endorsement.

Employee Benefits Liability (EBL) Coverage

Description of Coverage

Covers the Named Insured for claims arising from acts, errors or omissions in the administration of the Named Insured's employee benefit plans. Administration means:

1. Providing information to Employees, or their dependents and beneficiaries, regarding the Named Insured's Employee Benefits Program;
2. Handling of records in connection with the Named Insured's Employee Benefits Program; or
3. Effecting enrollment, termination or cancellation of Employees, or their dependents and beneficiaries, in the Named Insured's Employee Benefits Program;

However, Administration does not include handling payroll deductions.

Eligibility Guidelines

- The following must be true: (See Markel Midwest EBL Supplemental Application questions 4 & 5):
  - For elective Employee Benefit programs, applicant obtains and retains a signed acceptance/rejection from every eligible employee.
  - Applicant provides every employee with a written guide of Employee Benefit programs and obtains and retains a written acknowledgement of its receipt from every employee.
- Employee Benefits Liability coverage must be purchased for applicant's entire operations.
- General Liability coverage must be purchased for applicant's entire operations under one of the following policy forms in product lines EO, IT, MM, PD, SK or SM:

BREACH MITIGATION EXPENSE COVERAGE

- PR Expense
- Notification and related Legal Expenses
- Voluntary Credit Monitoring
- Most important coverage but also what pays out!

Trigger

- Unintentional Data Compromise

  Any computer security incident, intrusion, breach, compromise, theft, loss or misuse of the Private Data of the Company or Organization and/or of any Insured

- Triggers when the data goes missing, do not have to prove liability to be sued. (no fault or automatic pay)

Limits

Sublimit $25,000/$25,000

Premium

If you can get $100 if not No Charge

Prohibited Classes

Money movers like ATM networks, credit card processors, payroll processing, clearing houses, broker/dealers

Data hoarders like credit bureaus, data brokers, mail service bureaus

Public/Private Schools/Universities

Social networking forums

On-line providers of adult entertainment, auctions, games or gambling, file sharing or peer to peer networks

Specific cloud providers/hosting (IT Providers for Endo)

HOA Risks

HIRED AND NON-OWNED AUTO LIABILITY (HNOA)

Eligibility guidelines:

Stand alone Hired and Non-Owned Auto coverage is not available

Do not offer when pick up or delivery services are provided by the Insured

Do not offer when vehicles are used for service or repair operations

Coverage is only available in conjunction with General Liability Coverage

Coverage is available up to $1,000,000/$1,000,000 limits; however, the underwriter has the flexibility to allow for a lower sub-limit. The amount of the limits be must added to the endorsement.

Forms

Supplemental Application: MAGL 2022 02 13: Supplement for Hired and Non-Owned Auto Liability

Endorsement: MEGL 1595: Hired and Non-Owned Liability

Dangerous Ingredients

1. Germander. – An herb commonly found in herbal teas and as an extract as a weight control aid and management of diabetes. It has been linked to liver injury and acute nonviral hepatitis. ***No exceptions offered***

2. Lobelia. – An herb used in the past for tobacco withdrawal as an herbal remedy to quit smoking. It can produce respiratory failure, rapid heartbeat and coma. ***No exceptions offered***

3. Yohimbe. – A bark commonly found in weight loss and workout supplements and powders. It has been associated with kidney failure, seizures, paralysis and death. ***Exceptions are offered dependent upon amount per dosage. Acceptable serving size per dose is up to 25%, anything above this will require approval. Information required for underwriting products with yohimbe include product label, amount per dosage and the % of total sales the product accounts for. Typical MP starts at $3,500 but consideration should made regarding the amount of yohimbe, etc..***

4. Jin Bu haun. An herb commonly marketed for insomnia, arthritic and orthopedic pain and gastrointestinal complaints. It can cause shortness of breath, paralysis and acute liver injury. ***No exceptions offered***

5. Gamma Hydroxy Butrate (GHB); Gamma Butyrate (GBL); 1,4 Butanediol (BD). – FDA banned substance used as a central nervous system depressant, also referred to as the "date rape" drug. It can also be sold as a sleep aid and can cause coma or death. ***No exceptions offered***

6. Ephedra sinica, Ephedra. E. equisetina, Mahuang, Ephedra Alkaloid, Pseudoephedrine, Ephedrine or any other Ephedra derivatives or extracts. – FDA banned substance found in dietary supplements. It has been associated with elevated blood pressure, sudden cardiac death and severe disability. ***No exceptions allowed***

7. Aristolochia spp., Aristolochia, Aristolochic acids, Aristolochia fangchi, Aristolochia spp., Asarum spp., Bragantia spp., Clematis spp., Akebia spp., Cocculus spp., Diploclisia spp., Menispernum spp., Sinomenium spp., Mu Tong, Fang ji, Guang fang ji, Fang Chi, Kan-Mokutsu, Mokutsu and any adulterated botanicals, botanical derivatives or other products that contain aristolochic acid, aristolochic acid derivatives or aristolochic acid extracts. – Plant extract commonly found in diet pills. It is a carcinogenic and causes cancer in the urinary system. ***No exceptions offered***

8. Stephania, Stephania spp, or any adulterated botanicals, botanical derivatives or any other products that contain Stephania, or any Stephania derivatives or extracts. - Plant extract commonly used in diet pills. It has been known to cause severe and permanent damage to the kidneys. It is commonly used with Magnolia. ***No exceptions allowed***

9. Magnolia, or any adulterated botanicals, botanical derivatives or any other products that contain Magnolia, or any Magnolia derivatives or extracts. – Plant extract commonly used in diet pills. It has been known to cause severe and permanent damage to the kidneys. It is commonly used with Stephania. ***Exceptions are offered dependent upon amount per dosage. Information required for underwriting products with Magnolia include product label, amount per dosage and the % of total sales the product accounts for. Typical MP starts at $7,500.***

10. Kava, ava, ava pepper, awa, kava root, kava-kava, kawa, Piper methysticum Forst. f., Piper Methysticum G. Forst, rauschpfeffer, intoxicating pepper, kava kava, kava pepper, kawa kawa, kawa-kawa, kew, Piper methysticum, sakau, tonga, wurzelstock, yangona. – Plant extract commonly found in supplements used to induce and improve sleep, and to decrease anxiety, nervousness, stress, and restlessness. It has been associated with liver damage. * **Exceptions are offered dependent upon amount per dosage. Information required for underwriting products with Kava include product label, amount per dosage and the % of total sales the product accounts for. Typical MP starts at $7,500.***

11. Glyburide, unlabeled glyburide, Liqiang 4, Liqiang Xiao Ke Ling (Liqiang Thirst Quenching Efficacious). Drug used in dietary supplements. Glyburide is an FDA approved drug used to treat diabetes but taking unknown amounts of the drug could lead to dangerously low glucose concentrations. ***No exceptions offered***

12. Bismacine, also known as Chromacine. – Drug marketed as an alternative treatment for Lyme disease. Side effects include cardio-vascular collapse and kidney failure. ***No exceptions allowed***

13. DMAA; dimethylamylamine; AMP Citrate; DMBA; and 4-amino-2-methylpentane citrate. – A central nervous system stimulant similar to ephedra commonly found in dietary and workout supplements. Side effects range from stroke, heart attack, hypertension and possibly death. ***No exceptions allowed***

14. Kratom, Mitragyna speciosa, mitragynine extract, biak-biak, cratom, gratom, ithang, kakuam, katawn, kedemba, ketum, krathom, krton, mambog, madat, Maeng da leaf, nauclea, Nauclea speciosa, thang, either in natural or synthetic form or any of their derivatives, alkaloids or extracts. – A plant extract that is thought to behave similarly to an opiate and is used by some as a way to control opioid withdrawal. Side effects include decreased breathing, seizure, addiction and psychosis. ***No exceptions allowed***

15. Cannabidiol (CBD), cannabinoids, and any derivative, extract or constituent of cannabis, natural or synthetic. – Marijuana derivative. No psychotic side effects known at this time. ***Exceptions are allowed. MP is $5,000***

16. Natural anabolic steroids; synthetic anabolic steroids. – Health risks can be produced by long-term use or excessive doges of anabolic steroids. Synthetic steroids side effects include development of high cholesterol, high blood pressure, mood swings, strokes, impotency, shrunken testicles and severe acne and even cancer. ***No exceptions allowed***

Life Science Definitions

Multi-Source:

- Products whose active ingredient(s) are past the initial patent period, including generic, branded off patent, private label or patented products when the active ingredient(s) are off-patent

Patented:

- Products in the initial patent period.

Ethical:

- Products available only by a doctor's prescription

OTC:

- Over the counter, or products that do not require a doctor's prescription, including vitamins.

Distributed:

- Products manufactured by others and distributed by you, either repackaged by you or distributed as received.

Non Pharmaceutical:

- Other products that are not pharmaceutical products such as cosmetics, food products, medical equipment, dental supplies, veterinary products, bulk chemicals.